

شروع اللہ کے پاک نام سے جو بڑا مہربان نہایت رحم والا ہے۔

فائل ٹرم کی تیاری لیکچر نمبر 23 سے اور 21 سے بھی شروع ہوتی ہے

. آپ کی خدمت کے لیے میرے چینل پر اس کتاب کی تمام ویڈیوز کو اپلوڈ کیا گیا ہے
چینل کو سبسکرائب کریں فری ویڈیو کو لائک کریں اور اپنی محبت کا ثبوت دینے کے لیے ایک خوبصورت کمنٹ بھی کریں بہت شکریہ

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Lecture no 20

PLANNING AND DECISION AIDS-I

This session and the one follows shall introduce the planning tools and techniques that managers have at their disposal to assist them in performing the management functions. Management Science or Operation Research is a management perspective aimed at increased decision effectiveness by use of sophisticated mathematical models and statistical methods.

TECHNIQUES FOR ASSESSING THE ENVIRONMENT

Several techniques have been developed to assist managers in assessing the organization's environment.

Environmental Scanning

Environmental scanning is the screening of large amounts of information to anticipate and interpret changes in the environment. It's used by both large and small organizations, and research has shown that companies with advanced environmental scanning systems increased their profits and revenue growth.

SWOT analysis is an analysis of an organization's strengths, weaknesses, opportunities, and threats. It brings together the internal and external environmental analyses in order to identify a strategic niche the organization might exploit.

Competitor intelligence is an environmental scanning activity that seeks to identify who competitors are, what they are doing, and how their actions will affect the organization.

Another type of environmental scanning is global scanning in which managers assess the changes and trends in the global environment.

Environmental scanning provides the foundation for developing **forecasts**, which are predictions of outcomes.

There are three categories of forecasting techniques.

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- a **Quantitative forecasting** applies a set of mathematical rules to a series of past data to predict outcomes.
- b **Qualitative forecasting** uses the judgment and opinions of knowledgeable individuals to predict outcomes.
- c **Judgmental forecasting**

Forecasting

Forecasting is the process of predicting changing conditions and future events that may significantly affect the business of an organization.

1. Forecasting is important to both planning and decision making.
2. Forecasting is used in a variety of areas such as: production planning, budgeting, strategic planning, sales analysis, inventory control, marketing planning, logistics planning, and purchasing among others.

It's important to look at forecasting effectiveness. Forecasting techniques are most accurate when the environment is not rapidly changing.

Some suggestions for improving forecasting effectiveness are as follows:

- 1) Use simple forecasting techniques.
- 2) Compare every forecast with "no change."
- 3) Don't rely on a single forecasting method.
- 4) Don't assume that you can accurately identify turning points in a trend.
- 5) Shorten the length of the forecasts.

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- 6) Forecasting is a managerial skill and can be practiced and improved.

Methods of Forecasting

- A. Quantitative forecasting** relies on numerical data and mathematical model to predict future conditions. There are two types of quantitative forecasting most frequently used.
- 1. Time-series methods** used historical data to develop forecasts of the future.
 - The underlying assumption is that patterns exist and that the future will resemble the past.
 - Time-series methods do not in themselves predict the impact of present or future actions that managers might take to bring about change.
 - A trend reflects a long-range general movement is either an upward or a downward direction.
 - A seasonal pattern indicates upward or downward changes that coincide with particular points within a given year.
 - A cyclical pattern involves changes at particular points in time that span longer than a year.
 - Time-series are more valuable for predicting broad environmental factors than in predicting the impact of present or future actions.
 - Because time-series rely on past trends there can be a danger in their use if environmental changes are disregarded.
 - 2. Explanatory or causal models** attempt to identify the major variables that are related to or have caused particular past conditions and then use current measures of those variables (predictors) to predict future conditions.
 - Explanatory models allow managers to assess the probable impact of changes in the predictors.
 - Regression models** are equations that express the fluctuations in the variable being forecasted in terms of fluctuations among one or more other variables.
 - Econometric models** are systems of simultaneous multiple regression equations involving several predictor variables used to identify and measure relationships or interrelationships that exist in the economy.
 - Leading indicators** are variables that tend to be correlate with the phenomenon of major interest but also tend to occur in advance of the phenomenon.
- B. Technological, or Qualitative, Forecasting** is aimed primarily at predicting long-term trends in technology and other important aspects of the environment The focus is upon longer-term issues that are less amenable to numerical analysis as quantitative approaches.
The **Delphi method and Scenario analysis can be used as techniques.**
- C. Judgmental Forecasting** relies mainly on individual judgments or committee agreements regarding future conditions.
- Judgmental forecasting methods are highly susceptible to bias.
 - The **jury of executive opinion** is one of the two judgmental forecasting model. It is a means of forecasting in which organization executives hold a meeting and estimate, as a group, a forecast for a particular item.
 - The **Sales-force composite** is a means of forecasting that is used mainly to predict future sales and typically involves obtaining the views of various salespeople, sales managers, and/or distributors regarding the sales outlook.

The choice of which forecasting method to use depends upon the needs within particular forecasting situations.

- Quantitative forecasting methods:**
 - Have a short-to-medium time horizon
 - Require a short period of time if a method is developed

- c Often have high development costs
- d Are high in accuracy in identifying patterns



- e Are low in accuracy in predicting turning points for time series, but medium for other methods.
 - f Are difficult to understand
2. **Technological forecasting** methods:
- a Have a medium-to-long time horizon
 - b Require a medium-to-long time
 - c Have medium development costs
 - d Are of medium accuracy in identifying patterns
 - e Are of medium accuracy in predicting turning points
 - f Are easily understood.
3. **Judgmental forecasting** methods:
- a Have a short-to-long time horizon
 - b Require a short time
 - c Have low development costs
 - d Are of medium-to-high accuracy in identifying patterns
 - e Are of low accuracy in predicting turning points
 - f Are easily understood

Benchmarking

Benchmarking is the search for the best practices among competitors or non-competitors that lead to their superior performance.

The benchmarking process typically follows four steps.

- a A benchmarking planning team is formed. The team's initial task is to identify what is to be benchmarked, identify comparative organizations, and determine data collection methods.
- b The team collects internal and external data.
- c The data is analyzed to identify performance gaps and to determine the cause of the difference.
- d An action plan is prepared and implemented.

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Lesson 21

PLANNING AND DECISION AIDS-II

1. TECHNIQUES FOR ALLOCATING RESOURCES.

Resources are the assets of the organization and include financial, physical, human, intangible, and structural.

Budgeting

1) Budgeting

A **budget** is a numerical plan for allocating resources to **specific activities**. Budgets are popular because they're applicable to a wide variety of organizations and units within an organization.

There are four different types of budgets.

- 1) A **revenue budget** is a budget that projects **future sales**.
- 2) An **expense budget** is a **budget that lists the primary activities** undertaken by a unit and allocates a dollar amount to each.
- 3) A **profit budget** is a **budget used by separate** units of an organization that **combines revenue** and **expense budgets** to determine the unit's profit contribution.

- 4) A **cash budget** is a **budget that forecasts** how much cash an organization will have on hand and **how much it will need to meet expenses**.

These **budgets** are based on the assumption of a single specified volume—**fixed budgets**. However, volume can't be predicted exactly. Therefore, a **variable budget** is a budget that takes **into account the costs that vary with volume**.

Scheduling

- 2) **Scheduling**
Scheduling involves a list of necessary activities, their order of **completion**, which is to do each, and time needed to complete them. Some useful **scheduling tools include** the following.

Gantt chart

- a The **Gantt chart**, named **after Henry Gantt**, is a scheduling chart that **visually shows actual and planned output over a period of time**.
A **Gantt chart** is a **specialized bar chart** that shows the current progress on each major project **activity relative to necessary completion dates**.
- a A project is **broken down into separate main activities listed** on the **left side of the chart**.
 - b The **time frame** is listed at the **top or the bottom of the chart**.
 - c The **duration and scheduling of activities is shown by a bar**.
 - d Gantt **charts do not show interrelationships among activities**.
 - e Software packages for creating and using Gantt charts (and many other decision tools) on computer are becoming widely available.

PERT

- b **PERT, or Program Evaluation and Review Technique**
PERT is a network planning method for **managing and controlling large one-time projects**. It is a **technique for scheduling complicated projects comprising many activities, some of which are interdependent**.

A **PERT network** is a flowchart like diagram that depicts the **sequence of activities needed to complete a project and the time or costs associated with each activity**.

1. All of the major activities in the project are specified.
2. The sequences of these activities are determined
3. A **network diagram** a graphic depiction of the interrelationships among activities, is constructed.
 - a An **activity** is a work component to be accomplished, and is **represented by an arrow on the network diagram**.
 - b An **event (or node)** represents a single point in time that is the beginning or the ending of an activity.
4. Three time estimates for each activity are determined and an expected time is calculated for each activity.

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5. The **critical path** is the path of activities and events in the network that will take the longest time to complete
 - a Delays on any activities on the critical path mean that the project will be delayed.
 - b **Slack** is the degree of latitude about when various activities can be started without endangering the completion date of the entire project.
6. After the project has begun, actual times for completion of each activity are collected and recorded on the PERT network so that any rescheduling and adjustments can be made as quickly as possible.

Please remember in PERT charts the followings:

- 1) **Events** are end points that represent the completion of major activities in a PERT network.
- 2) **Activities**, which are the time or resources required to progress from one event to another in a PERT network.
- 3) **Slack time** is the amount of time an individual activity can be delayed without delaying the whole project.
- 4) **Critical path** is the longest or most time-consuming sequence of events or activities in a PERT network.

3) Breakeven Analysis

Breakeven analysis is a technique for identifying the point at which total revenue is just sufficient to cover total costs.

4) Linear Programming

Linear programming is a mathematical technique that can be used to solve resource allocation problems. **Linear programming (LP)** is a quantitative tool for planning how to allocate limited or scarce resources so that a single criterion or goal (often profits) is optimized.

1. It is the most widely used quantitative planning tools in business.
2. There are optimal conditions for using linear programming.
 - i. A single objective must be achieved.
 - ii. Attainable constraints exist.
 - iii. Variables are linearly related to the objective, i.e., and increase (or decrease) in the variable leads to a proportional increase (or decrease) in the objective.

2. CONTEMPORARY PLANNING TECHNIQUES.

Two planning techniques that are appropriate for planning in an environment that's both dynamic and complex are project management and scenario planning.

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1) Project Management

A **project** is a one-time-only set of activities that has a definite beginning and ending point in time. **Project management** is the task of getting a project's activities done on time, within budget, and according to specifications.

Project Management Process

There **are seven steps** in the project planning process.

- i. Define objectives.
- ii. Identify activities and resources.
- iii. Establish sequences.
- iv. Estimate time for activities.
- v. Determine project completion date.
- vi. Compare with objectives.
- vii. Determine additional human resource requirements.



The role of the project manager

- i. The only real influence project managers have is their communication skills and their power of persuasion.
- ii. Team members seldom work on just one project; they're usually assigned to two or three at any given time.

2) Scenario planning

- i. A scenario is a consistent view of what the future is likely to be.
- ii. Developing scenarios also can be described as contingency planning.
- iii. The intent of scenario planning is not to try to predict the future but to reduce uncertainty by playing out potential situations under different specified conditions.
- iv. Scenario planning is difficult to use when forecasting random events

3. OTHER PLANNING TECHNIQUES:

1) Queuing or waiting-line models are mathematical models that describe the operating characteristics of queuing situations.

- i. Queuing situations can be any combination of single-server or multiple-server queues.
 1. Single-server queues involved service provided at a single point.
 2. Multiple-server queues occur when a number of stations draw from a single line.
- ii. Queuing models allow managers to vary the parameters of a situation to determine the probable effects.

2) Simulation Models

Simulation is a mathematical imitation of reality. It is used when the situation is too complex for linear programming or queuing theory.

3) Decision Trees

Trees are graphic models displaying structures of a sequence of alternative course of action and usually showing payoffs associated with various paths and probabilities associated with potential future conditions.

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Lesson 22

PLANNING: FUNCTIONS & BENEFITS

WHAT IS PLANNING?

Planning involves defining the organization's goals, establishing an overall strategy for achieving these goals, and developing a comprehensive set of plans to integrate and coordinate organizational work. The term *planning* as used in this chapter refers to *formal* planning. The *quality* of the planning process and appropriate *implementation* probably contribute more to high performance than does the *extent* of planning.

WHY DO MANAGERS PLAN?

Purposes of Planning

Planning is important and serves many significant purposes.

1. Planning gives direction to the organization.
2. Planning reduces the impact of change.
3. Planning establishes a coordinated effort.
4. Planning reduces uncertainty.
5. Planning reduces overlapping and wasteful activities.
6. Planning establishes objectives or standards that are used in controlling.

How do managers plan?

Planning is often called the primary management function because it establishes the basis for all other functions. Planning involves two important elements: **goals and plans**.

The Role of Goals and Plans in Planning

1. Goals—desired outcomes for individuals, groups, or entire organizations.
2. Goals are objectives—the two terms are used interchangeably.
3. **Types of goals**.
 - a. Financial performance versus strategic goals
 - b. **Stated versus Real**.
 - 1) **Stated goals** are official statements of what an organization says, and what it wants its various stakeholders to believe, its goals are.
 - 2) **Real goals** are those that an organization actually pursues.

Questions and Answers

1. Define planning.

Planning involves defining the organization's goals, establishing an overall strategy for achieving those goals, and developing a comprehensive set of plans to integrate and coordinate organizational work. It's concerned with both ends (what's to be done) and means (how it's to be done).

2. What purposes does planning serve?

Planning gives direction, reduces the impact of change, establishes coordinated effort, reduces uncertainty, minimizes waste and redundancy, and sets the standards used in controlling.

3. What is the relationship between planning and organizational performance?

Formal planning is associated with higher profits, higher return on assets, and other positive financial results. The quality of the planning process and the appropriate implementation of the plans probably contribute more to high performance than does the extent of planning.

4. Differentiate between goals and plans.

Goals are desired outcomes for individuals, groups, or entire organizations. Plans are documents that outline how goals are going to be met and that typically describe resource allocations, schedules, and other necessary actions to accomplish the goals.

5. What are the different types of goals?

Organizations may utilize financial and/or strategic goals, stated and/or real goals.

Describe each of the different types of plans.

Strategic plans apply to the entire organization, establish the organization's overall goals, and seek to position the organization in terms of its environment. Operational plans specify the details of how the overall goals are to be achieved. Long-term plans are plans with a time frame beyond three years. Short-term plans cover one year or less. Specific plans are clearly defined and leave no room for interpretation. Directional plans are flexible plans that set out general guidelines. Single-use plans are one-time plans specifically designed to meet the needs of a unique situation. Standing plans are ongoing plans that provide guidance for activities performed repeatedly and include policies, rules, and procedures.

The Nature of organizational Goals

The use of goals has several benefits.

1. **Performance** can be improved.
2. **Expectations** can be improved.
3. The **Controlling function** can be facilitated so that progress can be assessed and corrective action taken.
4. Meeting goals can increase motivation.

The **three levels of goals within an organization** form a hierarchy of goals, with lower-level goals forming a mean-end chain with the next level of goals.

Levels

1. **Strategic goals** are broadly defined targets or future end results set by top management.
2. **Tactical goals** are the targets or future end results usually set by middle management for specific departments or units.
3. **Operational goals** are those targets or future end results set by lower management that address specific, measurable outcomes required from the lower levels.

Linkage of goals and plans

Goal and plans are closely related in that plans specify the means to achieving the goals.

- A. Plans, like goals, enter into a **hierarchy** of levels and priority.
 - 1. **Strategic plans** are detailed action steps mapped out to reach strategic goals.
 - a. Strategic plans are organizational wide and are developed by top management.
 - b. The time horizon tends to be long 3 to 5 years or more.
 - 2. **Tactical plans** are the means charted to support implementation of the strategic plan and achievement of tactical goals.
 - a. Tactical plans tend to be more specific and concrete than strategic plans.
 - b. Tactical plans are important to the success of strategic plans.
 - c. The time horizon tends to be intermediate in range 1 to 3 years.
 - 3. **Operational plans** are the means devised to support implementation of tactical plans and achievement of operational goals.
 - a. Operational plans spell out specifically what must be accomplished to achieve operational goals.
 - b. The time horizon is relatively short-term—usually less than 1 year as a maximum.

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- B. Plans can be categorized according to the extent to which they will be used on a recurring basis.
1. **Single-use plans** are plans aimed at achieving a specific goal that, once reached, will most likely not recur in the future.
 - a. A **program** is a comprehensive plan that coordinates a complex set of activities related to a major non-recurring goal.
 - b. A **project** is a plan that coordinates a set of limited-scope activities that do not need to be divided into several major projects in order to reach a major non-recurring goal. Programs are broader than projects.
 2. **Standing plans** are plans that provide ongoing guidance for performing recurring activities.
 - a. A **policy** is a general guide that specifies the broad parameters within which organization members are expected to operate in pursuit of organizational goals.
 - b. A **procedure** is a prescribed series of related steps to be taken under certain recurring circumstances.
 - 1) Procedures are detailed and inflexible; policies are general.
 - 2) Well established and formalized procedures are often called standard operating procedures (SOPs).

- C. Different **levels** of goals and plans are related to different **time horizons**. Strategic plans typically involve time periods of 5 years or more, but the time frame is dependent upon the stability of the industry in question.
- 1) Tactical goals and plans typically involve time periods of 1 to 5 years.
 - 2) Operational goals and plans can be for as short a period as 1 week or as long as 1 year.

- D. The planning process can be used to promote **innovation** in organizations.
1. The organizational mission statement can be a primary means of encouraging innovation.
 2. The goals component can translate the mission in a way supporting innovation.

The plans component can provide actual plans for achieving innovative outcomes.

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Lesson 23

PLANNING PROCESS AND GOAL LEVELS

The overall planning process

- A. **Planning** is a two-part function—setting goals and determining how to try to achieve the goals.
 1. A **goal** (often used interchangeably with “objective”) is a **future target** or **end result** that an organization wishes to achieve.
 2. A **plan** is the means devised for attempting to reach a goal.
- B. An organization's **mission** is the organization's purpose or fundamental reason for existence.
 1. A **mission statement** is a broad declaration of the basic, unique purpose and scope of operations that distinguishes the organization from others of this type.
 2. A **mission statement** serves a variety of purposes.
 - a. For managers, a mission statement can be a benchmark against which to evaluate success.
 - b. For employees, mission statements define a common purpose, nurture organizational loyalty, and help foster a sense of community among members.
 - c. For external groups, mission statements help provide unique insights into an organization's values and future directions.
 3. The **mission statement** typically defines the organization in terms of the important attributes of the organization. **Answers to many** of these questions are answered using information and processes described in the two previous chapters in the text.
 - a. Customers: Who are the organization's customers?
 - b. Products or services: What are the organization's major products or services?
 - c. Location: Where does the organization compete?
 - d. Technology: What is the firm's basic technology?
 - e. Philosophy: What are the basic beliefs, values, aspirations, and philosophical priorities of the organization?
 - f. Self-concept: What are the organization's major strengths and competitive advantages?
 - g. Concern for public image: what are the organization's public responsibilities and what image is desired?
 - h. Concern for employees: What is the organization's attitude toward its employees?

Types of Plans

Plans can be described by their breadth, time frame, specificity, and frequency of use.

- a. **Breadth:** strategic versus operational plans. **Strategic plans** are those that are organization wide, establish overall objectives, and position an organization in terms of its environment.
- b. **Operational plans** are plans that specify details on how overall objectives are to be achieved.
- c. **Time frame:** short-term versus long-term plans. **Short-term plans** are plans that cover one year or less. **Long-term plans** are those that extend beyond three years.

- d. **Specificity**: specific versus directional plans. **Specific plans** are those that are clearly defined and leave no room for interpretation. **Directional plans** are flexible plans that set out general guidelines.

The Nature of Organizational Goals

- A. The use of goals has several benefits.
1. **Performance** can be improved.
 2. **Expectations** can be improved.
 3. The **Controlling function** can be facilitated so that progress can be assessed and corrective action taken.
 4. Meeting goals can increase **motivation**.



- B. The **three levels of goals** within an organization form a hierarchy of goals, with lower-level goals forming a mean-end chain with the next level of goals.
1. **Strategic goals** are **broadly defined targets or future end results set by top management**.
 2. **Tactical goals** are the targets or future end results usually set **by middle management for specific departments or units**.
 3. **Operational goals** are those targets or future end results set **by lower management that address specific, measurable outcomes required from the lower levels**.

How Goals Facilitate Performance

The content of goals should **meet five criteria**.

1. **Challenging** goals usually lead to higher performance from individuals and groups.
2. **Attainable** goals, **not impossible demands**, are more likely to **improve performance**.
3. **Specific and measurable** goals **are needed so that it is clear when they have been achieved**.
4. **Time-limited** goals give them meaning.
5. **Relevant** goals **enable employees to see the purpose of the goals** and to devise ways of meeting them.
6. **Measurable** means the **performance and targets can be measured after an interval of time**.

Goal commitment is **one's attachment to, or determination to reach, a goal**. Without commitment goals have little impact on performance. Managers can help foster commitments in a number of ways.

1. **Supervisory authority** should serve to **motivate employees to meet their goals**.
2. **Peer and group pressure** may serve **as motivation**.
3. **Expectations of success** can **be improved by managerial coaching and instruction**.
4. **Incentives** are **offered during the goal-setting process**; **rewards occur upon goal achievement**.
5. **Participation** in the goal setting process may be effective in engendering goals commitment.

Work behavior may be affected by four factors influenced by goals content and goal commitment.

1. Goals provide **Direction** by channeling attention and action toward activities related to those goals, rather than to other activities.
2. Goals to which we are **committed** boost effort by mobilizing energy.
3. **Persistence** involves maintaining direction and effort on behalf of a goal until it is reached.
4. Goal setting leads to **planning** if the goals are appropriately challenging.

The **impact of goals on performance of any specific job can be influenced by a number of other process components**.

1. **Job knowledge and ability** are likely to affect an individual's work behavior and prospects for reaching goals.
2. The **complexity** of the task may affect the degree to which goal-directed work behaviors influence job performance.

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3. **Situation constraints** include such things as having the proper tools, materials, and equipment.
4. **Knowledge of results** or feedback about progress enables individuals to gauge their progress toward goal attainment.

Strategic plans typically involve time periods of 5 years or more, but the time frame is dependent upon the stability of the industry in question.

The planning process can be used to promote **innovation** in organizations.

1. The organizational mission statement can be a primary means of encouraging innovation.
2. The goals component can translate the mission in a way supporting innovation.



3. The plans component can provide actual plans for achieving innovative outcomes.

Obstacles to planning exist, but may be countered by organizations.

1. **Obstacles to planning** threaten the ability of organizations to **develop effective plans**.
 - a. Plans in a rapidly changing environment require frequent revisions. Manager may resist formalized planning if they believe planning is unnecessary. The **pressure of day-to-day responsibilities may keep managers from planning**. Managers may be poorly prepared.
 - Staff specialists may come to dominate the planning process
2. Organizations can take steps to reduce the obstacles to planning.
 - a. Top-level managers may demonstrate their support of the planning process.
 - b. A **planning staff** is a **small group of individuals who assist top-level managers in developing the various components of the planning process**. This **staff should focus on helping rather than taking over the planning process**.
 - c. **Contingency planning** is the development of alternative plans for use in the event that environmental conditions evolve differently than anticipated, rendering original plans unwise or unfeasible.

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Lesson 24

MANAGEMENT BY OBJECTIVE (MBO)

Time Span of Goals and Plans

1. Strategic goals and plans generally involve time periods of 3-5 years.
2. Tactical goals and plans typically involve time periods of 1 to 3 years.
3. Operational goals and plans can be for as short a period as 1 week or as long as 1 year.

Characteristics of Well-Designed Goals

Written in terms of outcomes

- a. Measurable and quantifiable
- b. Clear as to a time frame
- c. Challenging but attainable
- d. Written down
- e. Communicated to all organizational members

Steps in Goals Setting—Five Steps

- a. Review the organization's mission.
Goals should reflect what the mission statement says.
- b. Evaluate available resources.
- c. Determine individually, or with input from others, the goals.
- d. Write down the goals and communicate them to all who need to know.
- e. Review results and whether goals are being met.

Developing Plans

The process of developing plans is influenced by three contingency factors and by the planning approach followed.

Contingency Factors in Planning

- a. Manager's level in the organization.
Operational planning usually dominates the planning activities of lower-level managers. As managers move up through the levels of the organization, their planning becomes more strategic.
- b. Degree of environmental uncertainty. The greater the environmental uncertainty, the more plans should be directional and emphasis placed on the short term.
 - 1) When uncertainty is high, plans should be specific, but flexible.
 - 2) Managers must be prepared to rework and amend plans, or even to abandon their plans.
- c. Length of Future Commitments.
 - 1) Commitment concept means that plans should extend far enough to meet those commitments

made when the plans were developed.

- 2) Planning for too long or for too short a time period is inefficient and ineffective.
-

Approaches to Establishing Goals

Goals can be established through a process of traditional goal setting or through management by objectives

- a. **Traditional goal setting** is defined as the process whereby goals are set at the top of the organization and then broken down into sub goals for each level in an organization.

- 1) Top managers are assumed to know what's best because they see the "big picture."
- 2) These goals are also often largely non operational.



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- 3) Specificity is achieved as each manager applies his or her own set of interpretations and biases.
- 4) However, what often results is that objectives lose clarity and unity as they move from top to bottom.
- 5) When the hierarchy of objectives is clearly defined, it forms an integrated **means-end chain** in which higher-level objectives are linked to lower-level objectives. These lower-level objectives serve as the means for the accomplishment of the higher-level objectives. And the goals at the lower levels (means) must be achieved in order to reach the goals at the next level (ends.)

Goal setting has some potential pitfalls

1. Setting difficult goals **increases the risk** that they will not be reached.
2. High goals may increase the **stress levels of organizational** members.
3. Failure to meet high goals may undermine the **self-confidence** of organizational members.
4. **Non goal areas** may be ignored.
5. Setting goals may **encourage excessive shot-range thinking**.
6. Inappropriate goals **may lead to dishonesty and cheating**.

- b. **Management by objectives (MBO)** is a process **through which specific goals are set collaboratively for the organization as a whole and every unit and individual within it; the goals then are used as a basic for planning, managing organizational activities, and assessing and rewarding contributions.**

In Management by objectives (MBO) **specific performance goals are jointly determined by employees and their managers**, progress toward accomplishing these goals is periodically reviewed, and rewards are allocated on the basis of this progress.

- 1) **MBO was first described by Peter Drucker and consists of four elements:**
 - i. Goal **specificity**
 - ii. Participative decision making
 - iii. Explicit time period
 - iv. Performance feedback

- 2) MBO makes objectives operational through the process by which they cascade down through the organization.

Although there is considerable variation across organizations, **MBO processes typically include the following steps:**

1. Organizational goals are developed based on organizational missions.
2. Specific goals are established for departments, subunits, and individuals.
 - a. In the top-down process, upper-level managers, conferring with their immediate managerial subordinates, formulate specific objectives for their areas of responsibility. These in turn enter into the formulation of objectives for the next level down, and so forth.
 - b. In the bottom-up process, operational goals are proposed by lower-level managers on the

basis of what they think they can achieve. These in turn are developed into tactical and finally strategic plans.

3. Action plans are formulated, describing what is to be done, how, when, where, and by whom in order to achieve a particular goals.
4. Individuals are given the responsibility of reaching their objectives and that goals will ultimately be met.
5. Performance is appraised at the end of the goal-setting cycle, typically at one-year intervals. Praise, recognition, and rewards should be given for effective performance.



The strengths of MBO are that it:

1. Aids(help) coordination of goals and plans.
2. Helps clarify priorities and expectations.
3. Facilitates vertical and horizontal communications.
4. Fosters employee motivation.

The weaknesses of MBO are that it:

1. Tends to falter without strong, continual commitment from top management.
2. Necessitates considerable training of managers.
3. Can be misused as a punitive device.
4. May cause overemphasis of quantitative goals.

The “spirit” of MBO is tremendous. In practice however, MBO has been successful only about 20 to 25 percent of the time, primarily because of lack of support from top management and poor goal-setting and communication skills.

Lesson no 25

شروع اللہ کے پاک نام سے جو بڑا مہربان نہایت رحم والا ہے۔

فائل ٹرم کی تیاری لیکچر نمبر 23 سے اور 21 سے بھی شروع ہوتی ہے

آپ کی خدمت کے لیے میرے چینل پر اس کتاب کی تمام ویڈیوز کو اپلوڈ کیا گیا ہے
چینل کو سبسکرائب کریں فری ویڈیو کو لائک کریں اور اپنی محبت کا ثبوت دینے کے لیے ایک خوبصورت کمنٹ بھی کریں بہت شکریہ

The **three levels of goals** within an organization form a hierarchy of goals, with lower-level goals forming a mean-end chain with the next level of goals.

1. **Strategic goals are broadly defined targets or future end results set by top management.**
2. **Tactical goals are the targets or future end results usually set by middle management** for specific departments or units.
3. **Operational goals are those targets or future end results set by lower management** that address specific, measurable outcomes required from the lower levels.

Introduction

STRATEGIC MANAGEMENT

Today's business news is filled with reports of organizations making changes in their strategies for whatever reasons. An underlying theme of discussing strategic management is that good strategies can lead to high organizational performance.

THE IMPORTANCE OF STRATEGIC MANAGEMENT

- The environmental shocks during the decades of the 1970s and 1980s
- forced managers to develop a systematic means of analyzing the environment,
- assessing their organization's strengths and weaknesses,
- identifying opportunities that would give the organization a competitive advantage,
- and incorporating these findings into their planning.
- The value of thinking strategically was recognized.

The Concept of Strategic Management

Strategic management is **a process through which managers formulate and implement strategies geared to optimizing goal achievement**, given available environmental and internal conditions.

Strategic management **is that set of managerial decisions and actions that determines the long-run performance of an organization.** It entails all of the basic management functions—planning, organizing, leading, and controlling.

Purposes of strategic management

1. One reason strategic management is important is because **it's involved in many of the decisions that managers make.**
2. Another reason is that **studies of the effectiveness of strategic planning and management have found that, in general, companies with formal strategic management systems had higher financial returns than those companies with no such systems.**
3. Strategic management has moved beyond for-profit organizations to include all **types of organizations**, including not-for-profit.

Strategic management is important to organizations because it:

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1. Helps organizations identify and develop a **competitive advantage**, a significant edge over the competition in dealing with competitive forces.
2. Provides a sense of direction so that organization members know where to expend their efforts.

Helps highlight the need for innovation and provides an organized approach for encouraging new ideas related to strategies.

Strategies are large-scale action plans for interacting with the environment in order to achieve long-term goals. Most well-run organizations attempt to develop and follow strategies.

The strategic management process is made up of several components

1. **Strategy formulation** is the part of the strategic management process that includes:
 - a. Identifying the mission and strategic goals.
 - b. Conducting competitive analysis
 - c. Developing specific strategies
 2. **Strategy implementation** is the part of the strategic management process that focuses on:
 - a. Carrying strategic plans.
 - b. Maintaining control over how those plans are carried out.
- Q. Define strategic management and how it entails the four management functions.**
- A. Strategic management is that set of managerial decisions and actions that determines the long-run performance of an organization. It entails all of the basic management functions because the organization's strategies must be planned, organized, put into effect, and controlled.

Summary

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Lesson 26

STRATEGIC MANAGEMENT - II

THE STRATEGIC MANAGEMENT PROCESS

The **strategic management process** is an eight-step process that encompasses strategic planning, implementation, and evaluation.

- A. The first step is identifying the organization's current mission, objectives, and strategies.
 1. Every organization needs a **mission**, which defines the purpose of the organization. What is the organization's reason for being in business?
 2. It's also important to identify the organization's current objectives and strategies, as well.
- B. Step 2 is analyzing the external environment. It's important to analyze the environment because, to a large degree, it defines management's strategic options.
 1. A successful strategy is one that aligns well with the environment.
 2. This step is complete when managers have an accurate grasp of what is taking place in the external environment and are aware of important trends that might affect the organization.
- C. The third step is identifying opportunities and threats. After analyzing the external environment, managers need to assess what opportunities to exploit and what threats to avoid.
 1. **Opportunities** are positive external environmental factors.
 2. **Threats** are negative external environmental factors.
- D. Step 4 is analyzing the organization's resources. In this internal analysis, managers are looking at the organization's specific assets, skills, and work activities.
 1. Managers look for **core competencies**, which are an organization's major value-creating skills, capabilities, and resources that determine its competitive advantage.
 2. This step forces managers to realize that every organization, no matter how large or powerful, is constrained in some way by its resources and skills.
- E. Step 5 is identifying strengths and weaknesses. The analysis in step 4 should lead to a clear assessment of the organization's internal resources.
 1. **Strengths** are those activities the firm does well or the unique resources it controls.
 2. **Weaknesses** are those activities the firm doesn't do well or the resources it needs but doesn't possess.
 3. One area that's often overlooked in this step is an analysis of the organization's culture and its strengths and weaknesses.
 - a. Remember that culture is the organization's personality.
 - b. The strength of the culture is a result of how much employees understand and support the shared values.
 - c. A strong culture should make it easy for managers to convey to employees the organization's distinctive competencies. However, the strong culture will make it more difficult to change, if needed.
 - d. Strategic choices will also be influenced by the culture's tolerance of risk and innovation and how performance is rewarded.
 - e. The culture can also promote or hinder an organization's strategic actions.
 4. The merging of steps 3 and 5 results in a **SWOT analysis**, which is an analysis of an organization's strengths, weaknesses, opportunities, and threats. It brings together the internal

- and external analyses in order to identify a strategic niche the organization might exploit.
5. In light of the SWOT analysis, managers need to reevaluate the organization's current mission and objectives.



- F. Step 6 is formulating strategies. Strategies need to be established for the corporate, business, and functional levels of the organization. In formulating strategies, managers hope to give the organization a competitive advantage.
- G. The next step is implementing strategies. The strategies must now be put into action. Strategies are only as good as their implementation.
- H. The eighth (and final) step in the strategic management process is evaluating results. Managers must evaluate the results to determine how effective their strategies have been and what corrections are necessary.

The Role of Competitive Analysis in Strategy Formulation

Before an effective strategy to gain a competitive advantage can be formulated, the organization's competitive situation needs to be carefully analyzed.

- A. A SWOT ANALYSIS is one method for doing so. The SWOT analysis involves assessing organization strengths (S) and weaknesses (W), as well as environmental opportunities (O) and threats (T).
 - 1. Strengths and weaknesses apply to internal characteristics.
 - a. A strength is an internal characteristic that has the potential of improving the organization's competitive situation.
 - b. A weakness is an internal characteristic that leaves the organization potentially vulnerable to strategic moves by competitors.
 - 2. Opportunities and threats are found in the external environment.
 - a. An opportunity is an environmental condition that offers significant prospects for improving an organization's situation relative to competitors.
 - b. A threat is an environmental condition that offers significant prospects for undermining an organization's competitive situation.

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LEVELS OF STRATEGIES, PORTER'S MODEL AND STRATEGY DEVELOPMENT (BCG) AND IMPLEMENTATION

Level of Strategies

Many organizations develop strategies at three different levels. These three different and distinct levels of strategy are corporate, business, and functional:

Corporate-level strategy is developed by top-level management and the board of directors. The **corporate-level strategy** seeks to determine what businesses a corporation should be in or wants to be in. Two popular approaches for answering the question of what business(es) should we be in are the grand strategies framework and the corporate portfolio matrix.

1. **These strategies address**
 - a. What business the organization will be coordinated to strengthen the organization's competitive position.
 - b. How the strategies of those businesses will be coordinated to strengthen the organization's competitive position.
 - c. How resources will be allocated among businesses.
2. **Business-level strategy** concentrates on the best means of competing within a particular business while also supporting the corporate-level strategy.
 - a. The distinction between corporate-level and business-level strategy applies only to organizations with separate divisions that compete in different industries.
 - b. A **strategic business unit (SBU)** is a distinct business, with its own set of competitors that can be managed reasonably independently of other businesses within the organization.
3. **Functional-level strategy** focuses on action plans for managing a particular functional area within a business in a way that supports the business-level strategy.
 - a. Functional areas include operations, marketing, finance, human resources management, accounting, research and development, and engineering.
 - b. Functional strategies are usually developed by functional managers and are typically reviewed by business unit heads.
4. **Coordinating** strategies across these three levels is critical in maximizing strategic impact.

The Role of Competitive Analysis in Strategy Formulation and Implementation

Porter's Forces Model:

Michael E. Porter, a noted strategy expert, has devised the **five competitive forces model** as an approach for analyzing the external environment for both the nature and the intensity of competition in a given industry in terms of five major forces.

1. The model provides an environmental assessment of strategically significant elements of the organization's task environment.
2. Rivalry is the extent to which competitors use tactics to lower the profits of their competitors.
3. The bargaining power of suppliers is the extent to which suppliers can exert power over business in an industry by threatening to raise prices or reduce the quality of goods and services they provide.
4. The bargaining power of buyers depends on the factors such as number of customers in the market, customer information, and the availability of substitute which determine the amount of influence that buyers have in an industry.

5. The threat of new entrants is the threat of a price war if new competitors can enter the market.



6. The threat of substitute products or services is the extent to which businesses in other industries can offer substitute products, thus reducing the profit potential for the industry.

The competitive environment, in some industries, may reach the point of **hyper competition**-a state of rapidly escalating competition. When this happens, environments may become upward spirals of uncertainty, dynamism, and heterogeneity of players making it difficult for any organization to sustain competitive advantage.

An **organizational assessment** determines how organizational factors in the internal environment affect the competitive situation.

1. The resource-based strategic view is a useful approach to internal assessment as it focuses on competitive implications of several sets of organizational resources and capabilities.
 - a. Financial resources include debt, equity, retained earnings, and other money related matters.
 - b. Physical resources include buildings, machinery, and other materials to operate.
 - c. Human resources include skills, abilities, experience, and other work related characteristics of those associated with the organization.
 - d. Organizational resources include the history, relationships, levels of trust, and other culture dimensions.
2. Assessing the competitive implications of these resources and capabilities relative to the environment involves answering questions about four critical factors.
 - a. How much value does any resource or capability add?
 - b. What, if any, degree of rareness does each resource or capability has among competing firms?
 - c. What is the degree of imitability by competitors of each resource or capability?
 - d. Is the organization of the firm's resources and capabilities by the formal reporting relationships, the control and reward systems, and other factors such so as to achieve the best competitive advantage?
3. Achieving sustained competitive advantage requires both the development in industries in which competitive forces are favorable and upon the development of resources and capabilities that are valuable, rare, and are difficult to imitate. When a firm has valuable, rare, and difficult to imitate resources and capabilities, it is said to have a **distinctive competence**.

Formulating corporate-level strategy

- A. A **grand strategy** (master strategy) provides the basic strategic direction at the corporate level of the organization. Four grand strategies have been identified.
 1. **Growth strategies** are grand strategies that involve organizational expansion along some major dimension.
 - a. **Concentration** focuses on effecting the growth of a single product or service or a small number of closely related products or services.
 - 1) Market development is gaining a larger share of a current market or expanding into new ones.
 - 2) Product development is improving a basic product or service or expanding into closely related products or services.
 - 3) Horizontal integration is adding one or more business that is similar, usually by purchasing such business.
 - b. **Vertical integration** involves effecting growth through the production of inputs previously provided by suppliers or through the replacement of a customer role (such as that of a distributor) by disposing of one's own outputs.
 - 1) Backward integration occurs when a business grows by becoming its own supplier

- 2) Forward integration occurs when organizational growth encompasses a role previously fulfilled by a customer.



- c. **Diversification** entails effecting growth through the development of new areas that are clearly distinct from current businesses.
 - 1) Conglomerate diversification takes place when an organization diversifies into areas that are unrelated to its current business.
 - 2) Concentric diversification occurs when an organization diversifies into a related, but distinct, business.

These growth strategies can be implemented through a number of means:

- 1) Internal growth occurs as the organization expands by building on its own internal resources.
 - 2) An **acquisition** is the purchase of all or part of one organization by another.
 - 3) A **merger** is the combining of two or more companies into one organization.
 - 4) A joint venture occurs when two or more organizations provide resources to support a given project or product offering.
2. A **stability strategy** is a second type of grand strategy that involves maintaining the status quo or growing in a methodical, but slow, manner.
- a. Small, privately owned businesses are most likely to adopt this strategy.
 - b. Some of the reasons for adopting a stability strategy are that it
 - 1) Avoids the risks or hassles of aggressive growth.
 - 2) Provides the opportunity to recover after a period of accelerated growth.
 - 3) Lets the company hold on to current market share.
 - 4) May occur through default.
3. **Defensive strategies**, the third class of grand strategies, are sometimes called retrenchment strategies. They tend to focus on the desire or need to reduce organizational operations usually through cost reductions, such as cutting back on non-essential expenditures and instituting hiring freezes, and/or asset reductions such as selling land, equipment, or the business itself.
- a. **Harvest** entails minimizing investments while attempting to maximize short-run profits and cash flow, with the long-run intention of existing with the market.
 - b. A **turnaround** is designed to reverse a negative trend and restore the organization to appropriate levels of profitability.
 - c. A **divestiture** involves an organization's selling or divesting of a business or part of a business.
 - d. A **bankruptcy** is a means whereby an organization that is unable to pay its debts can seek court protection from creditors and from certain contract obligations while it attempts to regain financial stability.
 - e. **Liquidation** entails selling or dissolving an entire organization.
- B. A **portfolio strategy approach** is a method of analyzing an organization's mix of businesses in terms of both individual and collective contributions to strategic goals. Two portfolio approaches are used most frequently. Each uses a two-dimensional matrix, and each may apply to either the existing or to potential strategic business units (SBUs). The portfolio concept is analogous to an individual's selecting a portfolio of stocks to achieve balance in terms of risk, long-term growth, etc.
1. **The Boston Consulting Groups (BCG) growth-share matrix** compares various businesses in an organization's portfolio on the basis of relative market share and market growth rate. The corporate portfolio matrix approach has been a popular approach to determining corporate-level strategy.

The **BCG matrix**, developed by the Boston Consulting Group, is a strategy tool to guide resource allocation decisions based on market share and growth of SBUs.

- a. Relative market share is determined by the ratio of a business's market share compared to

the market share of its largest rival.



- b. Market growth rate is the growth in the market during the previous year relative to growth in the economy as a whole.

The matrix defines four business groups. SBUs plotted on the BCG matrix can be categorized:

- 1) The **Star** has a high market share in a rapidly growing market.
- 2) A **Question Mark** (problem child) has a low market share in a rapidly growing market.
- 3) The **Cash Cow** has a high market share in a slowly growing market.
- 4) A **Dog** has a low market share in an area of low growth.

- c. Strategies are suggested by the SBU's position on the matrix.
 - 1) Use funds from cash cows to dunsstars and possibly question marks.
 - 2) Divest dogs and less desirable question mark.

- 2. **The product/market evolution matrix** (sometimes called the life-cycle portfolio matrix) is a 15-cell matrix in which business is plotted according to the business unit's business strengths or competitive position, and the industry's stage in the evolutionary product/market life cycle.

- a. While the BCG matrix measures market growth rate the product/market evolution matrix shows the industry's stage in the evolutionary life cycle.
- b. The maturity and saturation stage is particularly important because it may last for an extended period of time and is a stage that presents special challenges to preserve market share while facing the prospect of the decline stage.

In **assessing these portfolio matrixes** remember that each model offers a somewhat different perspective. Portfolio matrices do not provide advice about specific business within the organization-such specifics are derived at the business level.

The BCG matrix (and the portfolio concept) has lost much of its merit because:

- a. Not every organization has found that increased market share leads to lower costs.
- b. The portfolio concept assumes that an organization's businesses can be divided into a reasonable number of independent units.
- c. Contrary to predictions, many so-called dogs have shown consistently higher levels of profitability than their growing competitors with dominant market shares.
- d. Given the rate at which the economy has been growing and the fact that a market can have only one leader, well over half of all businesses by definition fall into the dog category.
- e. Strategic implications of the BCG matrix are: "milk" the cash cows; invest resources in the stars; liquidate or sell the dogs; and sell off or invest in the question marks.

Formulating Business-level strategy

- A. Business-level strategies provide advice about specific strategies for various businesses.
- B. Michael E. Porter has developed three business-level strategies that are generic, i.e., widely applicable to a variety of situations.
 - 1. A **cost leadership strategy** involves emphasizing organizational efficiency so that the overall costs of providing products and services are lower than those of competitors.
 - a. The business should have a cost advantage that is not easily or inexpensively imitated.
 - b. Managers should consider making those product or service innovations that are most important to customers.

2. A **differentiation strategy** involves attempting to develop products and services that are viewed as unique in the industry.



- a. Differentiation may occur in brand image, technology, customer service, features, quality, and election.
 - b. Costs are not as important as product or service uniqueness.
3. A **focus strategy** entails specializing by establishing a position of overall cost leadership, differentiation, or both, but only within a particular portion, or segment, or an entire market.

Formulating functional-level strategy

- A. Strategies at the functional level are important in supporting a business-level strategy.
- B. Functional areas develop the distinctive competencies that lead to potential competitive advantages.

Strategy Implementation

Strategies at the functional level are important in supporting a business-level strategy. Functional areas develop the distinctive competencies that lead to potential competitive advantages.

Strategy implementation includes the various management activities that are necessary to put the strategy in motion, institute strategic controls that monitor progress, and ultimately achieve organizational goals.

- A. Managers need to synchronize major factors within an organization needed to put a chosen strategy into action.
 1. **Technology** is the knowledge, tool, equipment, and work technique used by an organization in delivering its product or service.
 2. **Human resources** are the individuals who are members of the organization.
 3. **Reward systems** include bonuses, awards, or promotions provided by others, as well as rewards related to internal experiences, such as feeling of achievement and challenge.
 4. **Decision processes** include the means of resolving questions and problems that occur in organizations.
 5. **Organization structure** is the formal pattern of interactions and coordination designed by management to link the tasks of individuals and groups in achieving organizational goals.
- B. Managers need to be able to monitor progress through strategic control.

Strategic control involves monitoring critical environmental factors that could affect the viability of strategic plans, assessing the effects of organizational strategic actions, and ensuring that strategic plans are implemented as intended.

Strategic control systems include information systems that provide feedback on the implementation and effectiveness of strategic plans.

ENTREPRENEURSHIP MANAGEMENT

What Is Entrepreneurship?

1. **Entrepreneurship**—the process where individuals or a group of individuals risk time and money in pursuit of opportunities to create value and grow through innovation regardless of the resources they currently control.
2. **Entrepreneurial ventures vs. small businesses**
Entrepreneurial ventures—organizations that are pursuing opportunities, characterized by innovative practices, and have growth and profitability as their main goals.
Small businesses—organization that is independently owned, operated, and financed; has fewer than 100 employees; doesn't necessarily engage in any new or innovative practices, and has relatively little impact on its industry, usually remaining small by choice or by default.

Why Is Entrepreneurship Important?

1. Innovation—a process of changing, experimenting, transforming, revolutionizing, and a key aspect of entrepreneurial activity.
2. Number of New Start-Ups
Assuming that some of these new businesses engage in innovative practices and pursue profitability and growth, then entrepreneurship has contributed to the overall creation of new firms.
3. Job Creation
The latest figures show that virtually all new net jobs were generated by firms with fewer than 500 employees.

The Entrepreneurial Process

1. Exploring the entrepreneurial context
It includes the realities of the new economy, society's laws and regulations that compose the legal environment, and the realities of the changing world of work.
2. Identifying opportunity and possible competitive advantages
3. Starting the venture
It includes researching the feasibility of the venture, planning the ventures, organizing the ventures, and launching the venture.
4. Managing the venture
It includes managing processes, people, and growth.

What Do Entrepreneurs Do?

1. Initially, an entrepreneur is engaged in assessing the potential for the venture, and then dealing with start-up issues.
2. Once the venture is up and running, the entrepreneur's attention switches to managing it.
3. Finally, the entrepreneur must manage the venture's growth.

Preparing to Operate a Small Business:

Writing a Business Plan:

A business plan is a document written by an entrepreneur or perspective owner that details the nature of business, the product or service, the customers, the competition, the production and marketing methods, the management, the financing and other significant aspects of proposed business venture.

It has several purposes:

- To think in concrete terms about every aspect of business.

- To able to get financing
- To measure progress



- To establish credibility with others.

The plan should describe the match between the entrepreneur's abilities and the requirements for producing and marketing a particular product or service.

WHAT IS CHANGE?

Organizational change is defined as any alteration in people, structure, or technology. Change is ever present in organizations and cannot be eliminated. Instead, we need to look at the key issues related to managing change.

FORCES FOR CHANGE

There are external and internal forces that create the need for change.

- A. External forces that create the need for change come from various sources.
 1. The marketplace
 2. Government laws and regulations
 3. Technology
 4. Labor markets
 5. Economic changes
- B. Internal forces tend to originate primarily from the internal operations of the organization or from the impact of external changes.
 1. Changes in strategy
 2. Changes in the workforce
 3. New equipment
 4. Change in employee attitudes

STIMULATING INNOVATION

Innovation is important to organizational success in the marketplace.

Creativity versus Innovation

There is a difference between creativity and innovation.

1. **Creativity** is the ability to combine ideas in a unique way or to make unusual associations between ideas.
2. **Innovation** is the process of taking a creative idea and turning it into a useful product, service, or method of operation.

How can managers foster innovation?

- a. Organic structures positively influence innovation.
- b. The easy availability of organizational resources provides a critical building block for innovation.
- c. Frequent inter-unit communication helps break down barriers to innovation.

Human resources variables are indicative of the important role that people play in innovative organizations.

- a. Innovative organizations actively promote the training and development of their employees so their knowledge remains current.
- b. Innovative organizations offer employees high job security.
- c. Innovative organizations encourage individuals to become **idea champions**—individuals, who actively and enthusiastically support a new idea, build support, overcome resistance, and ensure that

the innovation is implemented.



Answering the Questions

1. Differentiate between entrepreneurial ventures and small businesses.

Entrepreneurial Ventures—organizations that are pursuing opportunities, characterized by innovative practices, and have growth and profitability as their main goals.

Small Businesses—organization that is independently owned, operated, and financed; has fewer than 100 employees; doesn't necessarily engage in any new or innovative practices, and has relatively little impact on its industry, usually remaining small by choice or by default.

2. Why is entrepreneurship important in Pakistan?

The important of entrepreneurship in Pakistan can be shown in three areas: innovation, number of new start-up business and SMEs, and job creation.

3. Is the pursuit of entrepreneurship important only in Pakistan? Explain.

The Global Entrepreneurship Monitor (GEM) studied the pace of entrepreneurial activity on economic growth in various countries. Among the major industrialized G-7 countries in particular, there was a very strong relationship between the level of entrepreneurial activity and annual economic growth. Same is true for every country like Pakistan i.e. developing nation.

4. Describe the four key steps in the entrepreneurial process.

- Exploring the entrepreneurial context; includes the realities of the new economy, society's laws and regulations that compose the legal environment, and the realities of the changing world of work.
- Identifying opportunity and possible competitive advantages
- Starting the venture; includes researching the feasibility of the venture, planning the ventures, organizing the ventures, and launching the venture.
- Managing the venture; includes managing processes, people, and growth.

5. What do entrepreneurs do?

Initially, an entrepreneur is engaged in assessing the potential for the venture, and then dealing with start-up issues. Once the venture is up and running, the entrepreneur's attention switches to managing it. Finally, the entrepreneur must manage the venture's growth.

6. Why are social responsibility and ethical considerations important to entrepreneurs?

Ethical considerations play a role in decisions and actions of entrepreneurs. The results of a study of approximately 300 entrepreneurs and corporate managers showed that entrepreneurs generally have more strict ethical standards than do managers and are also better able to live by their beliefs, probably because they have more control over their decisions and actions.

ORGANIZING

Organizations are experimenting with different approaches to organizational structure and design. Organizational structure can play an important role in an organization's success. The process of **ORGANIZING**—the second management functions—is how an organization's structure is created.

The Nature of Organization Structure

Managers are seeking structural designs that will best support and allow employees to effectively and efficiently do their work. **Organizing** is the process of creating an organization's structure.

Organization structure is the formal pattern of interactions and coordination designed by management to link the tasks of individuals and groups in achieving organizational goals. An **organizational structure** is the formal framework by which job tasks are divided, grouped, and coordinated.

1. This formal pattern designed by management is to be distinguished from the informal pattern of interactions that simply emerges within an organization.
2. Organization structure consists primarily of four elements:
 - a. Job design
 - b. Departmentalization
 - c. Vertical coordination
 - d. Horizontal coordination
3. **Organization design** is the process of developing an organization structure. **Organizational design** is the process of developing or changing an organization's structure. It involves decisions about six key elements: work specialization, departmentalization, and chain of command, span of control, centralization/decentralization, and formalization. We need to take a closer look at each of these structural elements.

The **organization chart** is a line diagram that depicts the broad outlines of an organization's structure. While varying in detail from one organization to another, typically organization charts show the major positions or departments in the organization, the way positions are grouped together, reporting relationships for lower to higher levels, official channels for communications, and possibly the titles associated with major positions in the organization.

1. The organization chart provides a visual map of the **chain of command**, the unbroken line of authority that ultimately links each individual with the top organizational position thorough a managerial position at each successive layer in between.
2. Nearly all organizations having just a few members have an organization chart.

Responsibility is the obligation or expectation to perform and carry out duties and achieve goals related to a position.

Authority is the right inherent in a managerial position to tell people what to do and to expect them to do it, right to make decisions and carry out actions to achieve organizational goals.

While part of a manager's work may be delegated, the manager remains accountable for results.

- a. **Accountability** is the requirement of being able to answer for significant deviations from duties or expected results.
- b. The fact that managers remain accountable for delegated work may cause them to resist delegation.

Delegation is assignment of part of manager's work to others along with responsibility and authority.



1. In addition to issues of accountability, managers may resist delegation for a number of reasons.
 - a. Managers may fear if subordinates fail.
 - b. Managers may think they lack time to train subordinates.
 - c. Managers may want to hold on to their power.
 - d. Managers may enjoy doing the tasks subordinates could do.
 - e. Managers may feel threatened by subordinates.
 - f. Managers may not know how to delegate.
2. Subordinates may resist delegation because of fear of failure or of risk taking.
3. Failure to delegate may have serious negative consequences for a manager's career.



JOB DESIGN/SPECIALIZATION AND DEPARTMENTALIZATION

Building Blocks of Organizing

1. Job design

- A. Job design is an essential part of organizational structure.
1. **Job design** is the specification of task activities, usually repeated on a regular basis, associated with each particular job.
 - a. Task activities need to be grouped in reasonably logical ways for each job.
 - b. The way the jobs are configured influences employee motivation.
 2. **Work specialization** is the degree to which the work necessary to achieve organizational goals is broken down into various jobs.

In Work specialization the tasks in an organization are divided into separate jobs. Another term for this is *division of labor*.

1. Work specialization can be traced back to the writings of Adam Smith.
 2. Work specialization was seen as a way to make the most efficient use of workers' skills because workers would be placed in jobs according to their skills and paid accordingly.
 3. Other advantages of work specialization included improvement in employees' skills at performing a task, more efficient employee training, and encouragement of special inventions and machinery to perform work tasks.
 4. Work specialization was viewed as a source of unending productivity improvements. And it was—up to a certain point.
 5. The human diseconomies from work specialization included boredom, fatigue, stress, lowered productivity, poor quality of work, increased absenteeism, and higher job turnover.
- B. There are four approaches to job design.
1. **Job simplification** is the process of configuring or designing jobs so that job holders have only a small number of narrow, repetitive, activities to perform.
 - a. The concept of job simplification was championed by economist Adam Smith and by Frederick Taylor
 - b. Training new workers becomes relatively easy and workers become almost interchangeable.
 - c. The advantage is that major production efficiencies may be gained.
 - d. The disadvantages are that, if carried too far, job satisfaction may be destroyed by narrow, repetitive, boring jobs and the firm may become too inflexible to serve customers with varying needs.

Types of Departmentalization

Departmentalization is the clustering of individuals into units and units into departments and larger units in order to facilitate achieving organizational goals.

1. An organization design is an overall pattern of departmentalization.
2. There are four major patterns of departmentalization.
 - a. The functional structure groups jobs into units based upon similarity of expertise, skills, and work activities, e.g., marketing, accounting.
 - b. The divisional structure groups jobs into units according to the similarity of products or markets.
 - c. The hybrid structure combines aspects of both the functional and divisional forms, with some jobs grouped into departments by functions and other grouped by products or markets.

- d. The matrix structure superimposes a horizontal set of divisional reporting relationships onto a hierarchical functional structure.



Assessing Structural Alternatives

Each of the four most common types of departmentalization has major advantages and disadvantages.

- A. Functional structure** is a type of departmentalization in which positions are grouped according to their main functional (or specialized) area.
1. Typical functional form of organization has several major advantages.
 2. The functional form of organization has several major advantages.
 - a. In-depth development of expertise is encouraged.
 - b. Employees have clear career paths within their function.
 - c. Resources are used more efficiently.
 - d. Economies of scale may be possible because of specialized people and equipment.
 - e. Intradepartmental coordination is facilitated.
 - f. Specialized technical competencies may be developed and may constitute a competitive advantage.
 3. The functional form of origination has several disadvantages.
 - a. Response time on multifunctional problems may be slow due to coordination problems.
 - b. Major issues and conflicts between departments may have to be resolved by top management, with resultant delays.
 - c. Bottlenecks due to sequential tasks.
 - d. Over specialization may lead to a restricted view of the department's and the organization's needs.
 - e. Performance may be difficult to measure because several functions are responsible for organizational results.
 - f. Managers may be trained too narrowly in a single department.
 4. The functional form of departmentalization is more appropriate under certain circumstances.
 - a. The organization is small or medium-sized.
 - b. There is a limited number of related products or services, or a relatively homogeneous set of customers or clients.
 - c. The organization is large and diverse, but the environment is stable.
- B. Divisional structure** is a type of departmentalization in which positions are grouped according to similarity of products, services, or markets.
1. Divisional structures are also called "self-contained structures" because each division contains the major functional resources it needs to pursue its own goals with little or no reliance on other divisions.
 2. The three major forms of divisional structure differ according to the rationale for forming the divisions.
 - a. **Product divisions** are divisions created to concentrate on a single product or service or at least a relatively homogeneous set of products or services.
 - b. **Geographic divisions** are divisions designed to serve different geographic areas.
 - c. **Customer divisions** are divisions set up to service particular types of clients or customers.
 3. Divisional structure has several major advantages.
 - a. Divisions can react quickly to changes in the environment.
 - b. Coordination across functions is simplified.
 - c. Each division can focus upon serving its customers.
 - d. The division's goals can be emphasized.
 - e. Performance is more easily measured.
 - f. Managers can be trained in general management skills.
 4. Divisional structure has several disadvantages.

- a. Duplication of resources in each division often occurs.
- b. In-depth expertise may be sacrificed.



- c. Divisions may compete for limited resources.
 - d. Expertise across divisions may not be shared.
 - e. Innovations may be restricted to single divisions.
 - f. Divisional goals may take priority over overall organizational goals.
5. The divisional structure is likely to be used in large organizations where substantial differences exist among products or services, geographic areas, or customers served.

C. Hybrid structure is a form of departmentalization that adopts parts of both functional and divisional structures at the same level of management.

1. Hybrid structures are adopted by large organizations to gain the advantages of functional and divisional structures.
 - a. Functional departments are created to take advantage of resource utilization efficiencies, economies of scale, or in-depth expertise.
 - b. Divisional departments are usually created to benefit from a stronger focus on products, services, or markets.
2. The hybrid structure has several advantages.
 - a. Corporate and divisional goals can be aligned.
 - b. Specialized expertise and economies of scale can be achieved in major functional areas.
 - c. Adaptability and flexibility may be achieved in handling diverse product or service lines, geographic areas, or customers.
3. The hybrid structure has several disadvantages.
 - a. Conflict may arise between departments and divisions.
 - b. Hybrid organizations tend to develop excessively large staffs in the corporate-level functional departments.
 - c. There may be a slow response to exceptional situations requiring coordination between a division and a corporate functional department.
4. The hybrid structure is best used under particular conditions.
 - a. The organization faces environmental uncertainty best met by a divisional structure.
 - b. The organization requires functional expertise and/or efficiency.
 - c. The organization has sufficient resources to justify the structure.

D. A matrix structure is a type of departmentalization that superimposes a horizontal set of divisional reporting relationships onto a hierarchical functional structure.

1. An organization with a matrix structure has a functional and a divisional structure at the same time.
2. Employees who work in a matrix organization report to two “bosses,” thus, the unity-of-command principle is violated.
3. Organizations that adopt a matrix structure usually go through several identifiable structural stages.
 - a. Stage 1 is a traditional structure, usually a functional structure, which follows the unity-of-command principle.
 - b. Stage 2 is a temporary overlay in which managerial integrator positions are created to handle issues of finite duration that involves coordinating across functional departments.
 - c. Stage 3 is a permanent overlay in which the managerial integrator positions become permanent.
 - d. Stage 4 is a mature matrix, in which matrix bosses have equal power.
4. As an organization passes through the matrix stages, horizontal integration increases at the cost of greater administrative complexity. The matrix form of organization has several advantages.

5. The matrix form of organization has several advantages.
 - a. Decision making can be decentralized.



- b. Horizontal coordination is strengthened.
 - c. Environmental monitoring is improved.
 - d. Responses to environmental changes are quickly made.
 - e. Functional specialists can be added to or resigned to projects as needed.
 - f. Support systems can be allocated to projects as needed.
6. Matrix designs have several disadvantages.
- a. Administrative costs are increased.
 - b. Lines of authority and responsibility may not be clear to individual employees.
 - c. Possibilities of conflict are increased.
 - d. Individuals can become preoccupied with internal relations at the expense of clients and project goals.
 - e. All decisions may become group decisions, leading to gross inefficiency.
 - f. Reactions to change may be slowed if interpersonal skills are lacking or top management fights for control.
7. Matrix designs are usually appropriate when the following three conditions are met:
- a. The considerable pressure from the environment that necessitates a simultaneous and strong focus on both functional and divisional dimensions.
 - b. The demands placed on the organization are changing and unpredictable, making it important to have a large capacity for processing information and coordinating activities quickly.
 - c. There is pressure for shared resources.
8. Research indicates some of the factors that may be necessary to the success of a matrix systems
- a. The organizational culture may need to be changed to support collaboration.
 - b. Managers may need special training, especially in interpersonal relations.
- E. Of particular interest are two new types of organizational structure that have recently emerged: the **process structure** and the **networked structure**.
- 1. A process structure is a type of departmentalization which groups positions into process team which are given beginning-to-end responsibility for that process or that specified work flow. The process structure is sometimes called the horizontal organization.
 - 2. The networked structure is a form of organizing in which many functions are contracted out to other independent firms and coordinated through the use of information technology networks. Sometimes the networked structure is called the virtual corporation because it performs as virtually one corporation.

SPAN OF COMMAND, CENTRALIZATION VS. DE-CENTRALIZATION AND LINE VS. STAFF AUTHORITY

Methods of Vertical Coordination

Vertical coordination is the linking of activities at the top of the organization with those at the middle and lower levels in order to achieve organizational goals.

Formalization is the degree to which written policies, rules, procedures, job descriptions, and other documents specify what actions are (or are not) to be taken under a given set of circumstances.

1. Most organizations need some degree of formalization so that fundamental decisions do not have to be made more than once and so that inequities will be less likely to occur.
2. Being too highly formalized can lead to cumbersome operations, slowness in reacting to change, and low levels of creativity and innovation.

Span of management or **span of control** is the number of subordinates who report directly to a specific manager.

1. Managers should have neither too many nor too few subordinates.
2. Research indicates that there is no universally correct span of management for all managers. Rather, spans of management can be narrower or broader depending on the circumstances of each managerial job.
 - a. Subordinates' work is such that little interaction with others is required.
 - b. Managers and/or their subordinates are highly competent.
 - c. The work of subordinates is similar.
 - d. Problems are infrequent.
 - e. Subordinates are located within close physical proximity of one another.
 - f. Managers have few non supervisory duties to perform.
 - g. Managers have additional help such as secretaries or assistants.
 - h. The work is challenging enough to motivate subordinates to do a good job.

Spans of management determine the number of hierarchical levels in an organization.

- a. A **tall structure** is one that has narrow spans of management and many hierarchical levels in an organization.
- b. A **flat structure** is one that has broader spans of management and few hierarchical levels and wide spans of control.

The number of hierarchical levels in an organization affects organizational effectiveness.

- a. Very tall organizations raise administrative overhead, slow communication and decision making, make it more difficult to pinpoint responsibility for various tasks, and encourage the formation of dull, routine jobs.
- b. **Downsizing** is the process of significantly reducing the layers of middle management, expanding the spans of control, and shrinking the size of the work force.
- c. **Restructuring** is the process of making a major change in organization structure that often involves reducing management levels and also possibly changing some major components of the organization through divestiture and/or acquisition.
- d. Downsizing must be planned and implemented carefully.
 - 1) Done well, downsizing may result in reduced costs, faster decision making, more challenging jobs, fewer redundancies, and increased innovation.

- 2) Done poorly, downsizing may result in the loss of valuable employees, demoralized survivors, and an ultimate decline in productivity.



- 3) A five-year study showed only increases in profits and productivity in a relatively small number of firms that downsized while most had noticeable decreased in morale.

The degree to which authority in an organization is centralized or decentralized affects the pattern of decision making in the organization.

1. **Centralization** is the extent to which power and authority are retained at the top organizational levels.
2. **Decentralization** is the extent to which power and authority are delegated to lower levels.
3. An organization is centralized if decisions made at lower levels are governed by a restrictive set of policies, procedures, and rules, and if situations not explicitly covered are referred to higher levels for resolution.
4. An organization is decentralized to the extent that decisions made at lower levels are made within a general set of policies, procedures, and rules, with decisions not covered left to the discretion of lower-level managers.
5. Centralization offers advantages.
 - a. It is easier to coordinate the activities of various units and individuals.
 - b. Top managers have more experience and may therefore make better decisions.
 - c. Top managers have a broader perspective on decision situations.
 - d. Duplication of effort by various organizational units can be avoided.
 - e. Strong leadership is promoted.
6. Decentralization offers advantages.
 - a. Top managers can concentrate upon major issues.
 - b. The jobs of lower-level employees are enriched by the challenge of making decisions.
 - c. Decisions can be made faster.
 - d. Individuals at lower levels may be closer to the problem and may be in a better position to make good decisions.
 - e. Relatively independent units emerge as divisions, with more easily measured outputs.
7. Organizations should move toward a decentralized structure when:
 - a. The organization is so large that top managers do not have the time or the knowledge to make all the major decisions.
 - b. Operations are geographically dispersed.
 - c. Top managers cannot keep up with complex technology.
 - d. The environment is increasingly uncertain.

The configuration of line and staff positions can affect the vertical integration in organizations.

1. A **line position** is a position that has authority and responsibility for achieving the major goals of the organization.
2. A **staff position** is a position whose primary purpose is providing specialized expertise and assistance to line positions.
3. Line authority differs from staff authority.
 - a. **Line authority** is authority that follows the chain of command established by the formal hierarchy.
 - b. Staff departments have **functional authority**, authority over others in the organization in matters related directly to the staff departments' functions.
 - c. Conflicts of line and functional authority.
 - 1) Staff personnel may usurp line authority.
 - 2) Line personnel may abdicate responsibility of staff departments.
 - 3) Conflicts may be avoided by clarifying lines of authority and encouraging team work.

- d. Recently a trend had developed to reduce the number of corporate-level staff positions in cost cutting moves.



Promoting Innovation: Methods of Horizontal coordination

Horizontal coordination is the linking of activities across departments at similar levels.

1. The need for horizontal coordination in an organization is directly proportional to the information-processing needs of the organization.
2. Organizations need to process more information under certain circumstances.
 - a. The organization faces complex and/or changing technology.
 - b. The environment is uncertain.
 - c. The company is growing.
3. In facilitating information processing across the organization, horizontal coordination also promotes innovation.
 - a. New ideas are more likely to emerge when views are shared.
 - b. Awareness of problems and opportunities across areas may spark creative solutions.
 - c. Involving employees in the development of ideas promotes commitment to proposed changes.

A **managerial integrator** is a manager who is given the tasks of coordinating related work that involves several functional departments.

- 1) Project managers usually are responsible for coordinating the work associated with a particular project until its completion.
- 2) Product managers orchestrate the launching of new products and services and may then continue coordinating interdepartmental work related to the new products and services.
- 3) Brand manager coordinate organizational efforts involving particular brand-name products, most often within the soap, food, and toiletries industries.

Managerial integrators do not have the line authority and must gain the cooperation of staff managers to implement their proposals.

Bilal Kahlon Official

ORGANIZATIONAL DESIGN AND ORGANIC VS. MECHANISTIC VS. VIRTUAL STRUCTURES

1. **Job rotation** is the practice of periodically shifting workers through a set of jobs in a planned sequence.
 - a. One purpose of job rotation is to combat boredom, but its success is short-lived if tasks are too simple.
 - b. Another purpose of job rotation is cross training so that there is maximum flexibility in job assignments.
 - c. A related purpose is employee development so that employees increase their capabilities and understanding of various aspects of the organization.
 - d. A potential problem is that rotating individuals may be treated as temporary helps and their loyalty perceived as questionable.
2. **Job enlargement** is the allocation of a wider variety of similar tasks to a job in order to make it more challenging.
 - a. Job enlargement broadens **job scope**, the number of different tasks an employee performs in a particular job.
 - b. The problem is that if additional simple tasks are added, worker boredom may persist. Too, lower efficiency, mental overload, increased errors, and other problems may develop.
3. **Job enrichment**, pioneered by Frederick Herzberg, is the process of upgrading the job-task mix in order to increase significantly the potential for growth, achievement, responsibility, and recognition.
 - a. Job enrichment increases **Job depth**, the degree to which individuals can plan and control the work involved in their jobs.
 - b. The important **job characteristics model** is a model developed to guide job enrichment efforts that include consideration of **core job characteristics, critical psychological states, and outcomes**.
 - c. The job characteristics model has five core job characteristics.
 - 1) **Skill variety** is the extent to which the job requires a number of activities that require different skills.
 - 2) **Task identity** is the degree to which the job allows the completion of a major identifiable piece of work, rather than just a fragment.
 - 3) **Task significance** is the extent to which the worker sees the job output as having an important impact on others.
 - 4) **Autonomy** is the amount of discretion allowed in determining schedules and work methods for achieving the required output.
 - 5) **Feedback** is the degree to which the job provides clear, timely information about performance results.
 - d. According to the job characteristics model, the core characteristics will increase worker motivation only if workers experience three critical psychological states.
 - 1) Workers must feel that the work is meaningful.
 - 2) Workers must know they are responsible for the outcomes.
 - 3) Workers must actually find out results.
 - e. According to the job characteristics model, outcomes of the critical states will be higher internal work motivation, greater satisfaction of growth needs, higher general job satisfaction, and increased work effectiveness.
 - f. The job characteristics model is likely to be used successfully under two conditions.
 - 1) Workers have high **growth-need strength**, the degree to which an individual needs personal growth and development on the job.

- 2) Workers are satisfied with other aspects of the job context, i.e. supervision, pay, coworkers, and job security.



ORGANIZATIONAL DESIGN DECISIONS

Organizations aren't structured the same way. Top managers put a lot of thought into how best to design the organization's structure. That "best" design depends on four contingency variables: the organization's strategy, size, technology, and degree of environmental uncertainty.

There are two generic models of organizational design.

1. A **mechanistic organization** is an organizational structure that is characterized by high specialization, rigid departmentalization, narrow spans of control, high formalization, a limited information network, and little participation in decision making by low-level employees.
2. An **organic organization** is a structure that is highly adaptive and flexible with little work specialization, minimal formalization and little direct supervision of employees.
3. When is each design favored? It "depends" on the contingency variables.

Contingency factors—appropriate structure depends on four contingency variables:

1. Strategy and structure

One of the contingency variables that influence organizational design is the *organization's strategy*. Most current strategy-structure frameworks tend to focus on three strategy dimensions:

- 1) Innovation—needs the flexibility and free flow of information of the organic organization
- 2) Cost minimization—needs the efficiency, stability, and tight controls of the mechanistic organization
- 3) Imitation—which uses characteristics of both mechanistic and organic

2. Size and structure

There is considerable historical evidence that an *organization's size* significantly affects its structure. Larger organizations tend to have more specialization, departmentalization, centralization and formalization although the size-structure relationship is not linear.

Technology also has been shown to affect an organization's choice of structure.

- a. Every organization uses some form of technology to transform inputs into outputs.
- b. The study of structure and technology found that organizations adapted to their technology and that three distinct technologies had increasing levels of complexity and sophistication.
 - 1) **Unit production** is the production of items in units or small batches.
 - 2) **Mass production** is large-batch manufacturing.
 - 3) **Process production** is continuous-process production.

3 Environmental uncertainty and structure

The final contingency factor that has been shown to affect organizational structure is *environmental uncertainty*. One way to manage environmental uncertainty is through adjustments in the organization's structure. The more uncertain the environment, the more flexible and responsive the organization may need to be.

COMMON ORGANIZATIONAL DESIGNS

A. Traditional organizational designs.

We now need to look at various organizational designs that you might see in today's organizations.

1. A **simple structure** is an organizational design with low departmentalization, wide spans of control, authority centralized in a single person, and little formalization.
 - a. Its strengths are its flexibility, speed and low cost to maintain.
 - b. Its major drawback is that it's most effective in small organizations.As an organization grows, the structure tends to become more specialized and formalized.

When contingency factors favor a bureaucratic or mechanistic design, one of two options is likely to be used.



2. One option expands functional departmentalization into the **functional structure**, which is an organizational design that groups similar or related occupational specialties together.
3. The other option is the **divisional structure**, which is an organizational structure made up of autonomous, self-contained units.

B. Contemporary organizational designs

However, many of today's organizations are finding that the traditional hierarchical organizational designs aren't appropriate for the increasingly dynamic and complex environments they face.

1. Team-based structures:

One of the newer concepts in organizational design is the **team-based structure**, which is an organizational structure made up of work groups or teams that performs the organization's work.

2. Project and matrix structures:

Another variation in organizational arrangements is based on the fact that many of today's organizations deal with work activities of different time requirements and magnitude.

- a. One of these arrangements is the **matrix organization** that assigns specialists from different functional departments to work on one or more projects being led by project managers.
- b. Another of these designs is the **project structure**, which is a structure in which employees are permanently assigned to projects.

3. Autonomous Internal Units:

Some large organizations have adopted a structure that's described as **autonomous internal units**, a design in which there are independent, autonomous decentralized business units, each with its own products, clients, competitors, and profit goals.

4. The Boundary less Organization:

Another approach to organizational design is the **boundary less organization**, which describes an organization whose design is not defined by, or limited to the horizontal, vertical, or external boundaries imposed by a predefined structure.

5. Learning Organization:

An organization that facilitate the life long learning and development of its employees while transforming itself to respond to changing demands and needs of market.

Bilal Kahlon Official

LEADING AND LEADERSHIP MOTIVATING SELF AND OTHERS

The Nature of Motivation

Being able to effectively motivate employees is a challenge that managers face in all types and sizes of organizations. “Everything that we give to our workers gets returned to us in terms of efficiency, quality, loyalty, and innovation.”

Motivation is the willingness to exert high levels of effort to reach organizational goals, conditioned by the effort's ability to satisfy some individual need.

- A. Effort is a measure of intensity or drive. High levels of effort are unlikely to lead to favorable job performance unless the effort is channeled in a direction that benefits the organization.
- B. A **need** is an internal state that makes certain outcomes appears attractive. An unsatisfied need creates tension that stimulates drives within an individual. These drives generate a search behavior to find particular goals that, if attained, will satisfy the need and reduce the tension.

Hence motivation is the force that energizes behavior, gives direction to behavior, and underlies the tendency to persist.

1. A person's motivation is not directly measurable, but must be inferred from behavior.
2. Performance is a function of ability, motivation and working conditions.
3. Besides hiring individual with ability to do the work, managers have the challenge to provide working conditions that nurture and support individual motivation to work toward organization goals.

The main elements of motivation have been identified based on numerous studies. A simplified model of motivation has been developed.

1. Inner needs and cognitions lead to behaviors.
2. Appropriate behaviors may result in rewards, which reinforce the behaviors, fulfill needs, and provide cognitive input regarding the future association of behaviors and rewards.
3. Lack of rewards may lead to unfulfilled needs, un-reinforced behaviors, and cognitive input in the form of expectations about the future.

Intrinsic Motivators

A person's internal desire to do some thing for his satisfaction, respect, prestige or loyalty

Extrinsic Motivators

Factors of motivation that comes from outside (environment) or organization like pay, bonuses, tangible benefits etc

FROM THEORY TO PRACTICE: SUGGESTIONS FOR MOTIVATING EMPLOYEES

Several suggestions for motivating employees are given and are based on what is currently known about motivation.

- A. Recognize individual differences in terms of needs, attitudes, personality, and other important individual factors.
- B. Match people to jobs by identifying what needs are important to individuals and trying to provide

jobs that allow them to fulfill those needs.



- C. Use goals because the literature on goal setting suggests that managers should ensure that employees have hard, specific goals and feedback on how well they're doing in pursuit of those goals.
- D. Ensure that goals are perceived as attainable. Employees who see goals as unattainable will reduce their levels of effort.
- E. Individualize rewards. Because employees have different needs, what is a reward and reinforce to one may not work for another.
- F. Link rewards to performance by making rewards contingent on desired levels of performance.
- G. Check the system for equity. Employees should perceive that the rewards or outcomes are equal to the inputs given.
- H. Don't ignore money. The allocation of performance-based increases, piecework bonuses, and other pay incentives is important in determining employee motivation.



MASLOW'S NEEDS THEORY AND ITS ANALYSIS

Maslow's Need Theory

One of the most widely mentioned theories of motivation is the hierarchy of need theory put forth by Abraham Maslow, one of the most widely known theories of motivation. Maslow saw human needs in the form of hierarchy ascending from the lowest to the highest and concluded that, when one set of need is satisfied this kind of need ceases to be a motivator.

- 1 Maslow's hierarchy of needs from the most basic to the highest.
 - a. **Physiological needs** are basic and include needs for food, water, and shelter. Maslow took the position that until these needs are satisfied to the degree necessary to maintain life, other needs will not motivate people.
 - b. **Safety needs** pertain to the desire to be safe, secure and free from threats to our existence. These needs can be satisfied in the workplace by job continuity, or retirement benefits.
 - c. **Belongingness needs** involve the desire to affiliate with and be accepted by others. These needs are satisfied for most people by family and community relationship outside of work and friendship on the job.
 - d. **Esteem needs** are related to the two-pronged desire to have a positive self-image and to have our contributions valued and appreciated by others. According to Maslow, once people begin to satisfy their need to belong, they tend to want to be held in esteem both by themselves and by others this kind of need produces such satisfactions as power, prestige, status and self confidence.
 - e. **Self-actualization needs** pertain to the requirement of developing our capabilities and reaching our full potential. Maslow regards this as the highest need in his hierarchy. It is the desire to become what one is capable of becoming- to maximize one's potential and to accomplish something.
- 2 Maslow suggests that the five need categories constitute a hierarchy. An individual is motivated first and foremost to satisfy physiological needs. As long as they remain unsatisfied, the individual is motivated only to fulfill them. When satisfaction of physiological needs is achieved they cease to act as primary motivational factors and the individual moves up the hierarchy and become concerned with security need. This process continues until the individual reaches the self- actualization level.
- 3 Recent studies have raised questions as to whether the hierarchical aspect of Maslow's theory is applicable to everyone and whether there might be fewer than five levels of needs.

Analysis and Weakness of Theory

1. Five levels of need are not always present.
2. Order of needs and hierarchy may not be the same for all employees.
3. There are certainly cultural differences which the theory did not take care.
4. Analyzing the theory in country and cultural context, for example in China, the hierarchy of needs found was different than Maslow's theory.

OTHER NEED AND COGNITIVE THEORIES OF MOTIVATION

McGregor's Theory X and Theory Y

This theory was developed by Douglas McGregor and describes two distinct views of human nature.

1. **Theory X** was the assumption that employees dislike work, are lazy, seek to avoid responsibility, and must be coerced to perform.
2. **Theory Y** was the assumption that employees are creative, seek responsibility, and can exercise self-direction.
3. Theory X assumed that lower-order needs (Maslow's) dominated individuals, and Theory Y assumed that higher-order needs dominated.

Motivation-Hygiene Theory

This is the theory developed by Frederick Herzberg that suggests that intrinsic factors are related to job satisfaction and motivation, and extrinsic factors are associated with job dissatisfaction. The basis of Herzberg's theory is that he believed that the opposite of satisfaction was not dissatisfaction. Removing dissatisfying characteristics from a job would not necessarily make the job satisfying. Frederick Herzberg's **two-factor** theory states that there are only two categories of needs.

Hygiene factors are factors that eliminate dissatisfaction. They include things such as supervision, company policy, salary, working conditions, security and so forth—extrinsic factors associated with job context, or those things surrounding a job.

Hygiene factors are necessary to keep workers away from feeling dissatisfied. There are several hygiene factors.

- a. Pay
- b. Working conditions
- c. Supervisors
- d. Company policies
- e. Benefits

Motivators are factors that increase job satisfaction and hence motivation. They include things such as achievement, recognition, responsibility, advancement and so forth—intrinsic factors associated with job content, or those things within the job itself.

Motivator factor can only lead workers to feel satisfied and motivated.

- a. Achievement
- b. Responsibility
- c. Work itself
- d. Recognition
- e. Growth and achievement

ERG Theory

Clayton Alderfer's ERG theory combines Maslow's five needs into three need levels: existence, relatedness and growth.

1. **Existence needs** include the various forms of material and physiological desires, such as food and

water, as well as such work-related forms as pay, fringe benefits and physical working conditions.



2. **Relatedness needs** address our relationships with significant others, such as families, friendship groups, work groups and professional groups.
3. **Growth needs** impel creativity and innovation, along with the desire to have a productive impact on our surroundings.
4. ERG needs differ in concreteness, i.e. the degree to which their presence or absence can be verified.
5. The **satisfaction-progression principle** is a principle that states that satisfaction of one level of need encourages concern with the next level.
6. Besides disagreeing as to the number of need levels that might exist, the ERG theory differs from Maslow's hierarchy of needs theory in three other significant ways:
 - a. Although the general notion of a hierarchy is retained, Alderfer's theory argues that we can be concerned with more than one need category at the same time.
 - b. ERG theory is more flexible in acknowledging that some individuals' needs may occur in a somewhat different order than the posited by the ERG framework.
 - c. ERG theory incorporates a **frustration regression principle** which states that if we are continually frustrated in our attempts to satisfy a higher-level need, we may cease to be concerned about that need.

Acquired-Needs Theory

McClelland's acquired-needs theory argues that our needs are acquired or learned on the basis of our life experience.

1. The Thematic Apperception Test (TAT) measures the needs for achievement, affiliation, and power.
2. The **need of achievement (nAch)** is the desire to accomplish challenging tasks and achieve a standard of excellence in one's work.
3. The **need for affiliation (nAff)** is the desire to maintain warm, friendly relationships with others.
4. The **need for power (nPow)** is the desire to influence others and control one's environment.
 - a. **Personal power** is the need for power in which individuals want to dominate others for the sake of demonstrating their ability to wield power.
 - b. **Institutional power** is the need for power in which individuals focus on what they can do to solve problems and further organizational goals.
5. The need profile of successful managers in competitive environments appears to include:
 - a. A moderate-to-high need for institutional power.
 - b. A moderate need for achievement to facilitate individual contributions early in one's career and a desire for the organization to maintain a competitive edge as one moves to higher levels
 - c. At least a minimum need for affiliation to provide sufficient sensitivity for influencing others.
 - d. Need for achievement may actually be more important than need for power in running small or large, decentralized companies.
6. It may be possible to foster the needs for achievement and for institutional power through training.

Significance for Managers

Many aspects of need theories are of value to managers.

1. Need theories are compatible in pointing out the importance of higher-level needs as a source of motivation.
2. Research indicates that it is more likely that individuals differ in the makeup of their need structures than that the need structures of individuals are basically the same.
3. The frustration-regression aspect of ERG theory may have serious implications for organizations.

Cognitive Perspectives

Equity Theory

Equity Theory, developed by J. Stacey Adams, says that an employee perceives what he or she got from a job situation (outcomes) in relation to what he or she put into it (inputs) and then compares the inputs-outcomes ratio with the inputs-outcomes ratios of relevant others and finally corrects any inequity.

1. The **referents** are the persons, systems, or selves against which individuals compare themselves to assess equity.
2. Equity theory recognizes that individuals are concerned with their absolute rewards as well as the relationship of those rewards to what others receive.
3. What will employees do when they perceive an inequity?
 - a. Distort either their own or others' inputs or outcomes.
 - b. Behave in some way to induce others to change their inputs or outcomes.
 - c. Behave in some way to change their inputs or outcomes.
 - d. Choose a different comparison person.
 - e. Quit their job



EXPECTANCY, GOAL SETTING AND RE-ENFORCEMENT THEORIES

Expectancy Theory

Expectancy Theory is the theory that an individual tends to act in a certain way based on the expectation that the act will be followed by a given outcome and on the attractiveness of that outcome to the individual. Three relationships are important to this theory.

1. Effort-performance linkage (expectancy) is the probability perceived by the individual that exerting a given amount of effort will lead to a certain level of performance.
2. Performance-reward linkage (instrumentality) is the degree to which an individual believes that performing at a particular level is instrumental in, or will lead to, the attainment of a desired outcome.
3. Attractiveness of the reward (valence) is the importance that the individual places on the potential outcome or reward that can be achieved on the job.
4. There are four features inherent in the theory.
 - a. What perceived outcomes does the job offer the employee?
 - b. How attractive do employees consider these outcomes to be?
 - c. What kind of behavior must the employee exhibit to achieve these outcomes?
 - d. How does the employee view his or her chance of doing what is asked?
5. The key to understanding this theory is to understand an individual's goal and the linkage between effort and performance, between performance and rewards, and between rewards and individual goal satisfaction.

Goal-Setting Theory

This theory says that specific goals increase performance, and difficult goals, when accepted, result in higher performance than easy goals. What do we know about goals as motivators?

1. Intention to work toward a goal is a major source of job motivation. Specific and challenging goals are superior motivating forces. Specific hard goals produce a higher level of output than do generalized goals.
2. Is there a contradiction between achievement motivation and goal setting? No, and here's why.
 - a. Goal-setting theory deals with people in general; achievement theory is based only on people who have a high need for achievement. Difficult goals are still recommended for the majority of employees.
 - b. The conclusions of goal-setting theory apply to those who accept and are committed to the goals. Difficult goals will lead to higher performance only if they are accepted.
3. Will employees try harder if they participate in the setting of goals?
 - a. We can't say that participation is always desirable.
 - b. However, participation is probably preferable to assigning goals when the manager expects resistance.
4. Will people do better when they get feedback on how well they're progressing toward their goals?
 - a. Feedback acts to guide behavior.
 - b. Self-generated feedback has been shown to be a more powerful motivator than externally generated feedback.
5. What contingencies exist in goal-setting theory? There are four contingencies we need to know about.
 - a. Feedback influences the goal-performance relationship.

- b. Goal commitment is another contingency. Commitment is most likely to occur when goals are made public, when the individual has an internal locus of control, and when the goals are self-set rather than assigned.
 - c. **Self-efficacy** is another contingency and refers to an individual's belief that he or she is capable of performing a task. The higher your self-efficacy, the more confidence you have in your ability to succeed in a task.
 - d. The last contingency that affects goal setting is national culture.
6. Our conclusion about motivation from goal-setting theory is that intentions, as defined by hard and specific goals, are a powerful motivating force.
 - a. In the proper conditions, they can lead to higher performance.
 - b. However, there's no evidence that such goals are associated with increased job satisfaction.

Reinforcement Theory

Reinforcement Theory is counter to goal-setting theory. It proposes that behavior is a function of its consequences.

1. Reinforcement theory argues that behavior is externally caused.
2. What controls behavior are **reinforcers**, which are consequences immediately following a response that increase the probability that the behavior will be repeated.
3. Reinforcement theory ignores factors such as goals, expectations, and needs.
4. It focuses solely on what happens when a person takes some action.
5. How can the concept of reinforcement be used to explain motivation?
 - a. People will most likely engage in a desired behavior if they are rewarded for doing so.
 - b. These rewards are most effective if they immediately follow a desired response.
 - c. Behavior that isn't rewarded or is punished is less likely to be repeated.
6. Managers can influence employees' behavior by reinforcing the work behaviors they desire.

Open Book Management

This is a motivational approach in which an organization's financial statements (the "books") are opened to and shared with all employees.

1. The goal of open-book management is to get employees to think like an owner by seeing the impact their decisions and actions have on financial results.
2. To be effective, employees have to be taught the fundamentals of financial statement analysis and what the numbers show.
3. The style of management demands for involvement of employees in all decision making for organization involving the transparency of financial statements.
4. Employees may be treated as business partners so productivity and profitability is enhanced.

Pay-for-performance programs are compensation plans that pay employees on the basis of some performance measure.

1. Performance-based compensation is probably most compatible with expectancy theory.
2. The increasing popularity of pay-for-performance programs can be explained in terms of both motivation and cost control.
3. Do pay-for-performance programs work? Studies seem to indicate that they do.

Integrating Contemporary Theories of Motivation

1. The basic foundation is the simplified expectancy model.
2. The model also considers the achievement-need, reinforcement and equity theories.
3. Rewards also play an important role in the model.

MOTIVATING KNOWLEDGE PROFESSIONALS LEADERSHIP TRAIT THEORIES

Motivating the “New Workforce i.e. Knowledge Professionals”

Another current motivation issue revolves around motivating the “new workforce.” These special groups present unique motivational challenges to managers. These professionals possess specialty knowledge of markets, of customers, of supplier, of software, of hardware, of technology and are very important to run the organizations smoothly in 21st century.

Motivating professionals is one of these special challenges.

- a. Professionals are different from nonprofessionals and have different needs.
- b. Money and promotions are typically low on the motivation priority list for professionals. Job challenge is usually ranked high as is support and the feeling that they’re working on something important.

Special challenges in motivating professionals include their long-term commitment to their field of expertise, with greater loyalty to their profession than to their employer. Money and promotions are typically low on professionals’ priority list. Contingent workers lack the security that permanent employees have and do not identify with or display much commitment to the organization. Temporary workers also typically lack benefits such as health care and pensions. Low-skilled minimum-wage workers typically have limited education and skills; offering higher pay is usually not an option.

Leadership

The recognition of the important role that leadership plays in organizational performance is widely acknowledged by managers everywhere. Leadership is what makes things happen in organizations.

MANAGERS VERSUS LEADERS

There are distinctions between managers and leaders. Managers are appointed and have legitimate power within the organization.

Leaders are those persons who are able to influence others and who possess managerial authority.

Leadership, then, is the ability to influence a group toward the achievement of goals

How leaders influence others

Leadership, the foundation of the management function of leading, is the process of influencing others toward the achievement of organizational goals.

Power is the capacity to affect the behavior of others.

There are different types of power depending upon their sources originally identified by French and Raven.

1. **Legitimate power** stems from a position’s placement in the managerial hierarchy and the authority vested in the position.
2. **Reward power** is based on the capacity to control and provide valued rewards to others.
3. **Coercive power** is based on the ability to obtain compliance through fear of punishment.
4. **Expert power** is based on the possession of expertise that is valued by others.
5. **Information power** result from access to and control over the distribution of important information about organizational operations and future plans.

6. **Referent power** results from being admired, personally identified with, or liked by others.



The different types of power can engender different levels of subordinate motivation.

1. With commitment, employees respond enthusiastically and exert a high level of effort toward organizational goals.
 - a. Commitment is the most common outcome of referent power and expert power.
 - b. Commitment is least likely to result from the use of coercive power.
2. With compliance, employees exert at least minimal efforts to complete directives, but are likely to deliver average, rather than stellar, performance.
 - a. Compliance is the most likely outcome of the use of legitimate power, information power, and reward power.
 - b. Compliance is a possible outcome of coercive power if used in a helpful way or of referent power of expert power when some element of apathy is present.
3. With resistance, employees may appear to comply, but actually do the absolute minimum, possibly even attempting to sabotage the attainment of organizational goals.
 - a. Resistance is a likely outcome of coercive power.
 - b. Resistance is a possible outcome of other types of power if used inappropriately.
4. The effective manager is one who does not have to rely on a single power base but rather, has high levels of power in several (all if possible) of these six power types.

Searching for Leadership Traits

Researchers began to study leadership in the early part of the 20th century. These early theories focused on the leader (trait theories) and how the leader interacted with his/her group members (behavior theories).

- A. Trait Theories
 1. Research in the 1920s and 1930s focused basically on leader traits with the intent to isolate one or more traits that leaders possessed, but that non-leaders did not.
 2. Identifying a set of traits that would always differentiate leaders from non-leaders proved impossible.
- B. **Traits** are distinctive internal qualities or characteristics of an individual such as physical characteristics (e.g., height, weight, appearance, energy), personality characteristics (e.g., dominance, extroversion, originality), skills and abilities (e.g., intelligence, knowledge, technical competence), and social factors (e.g., interpersonal skills sociability, and socioeconomic position).
- C. A number of the early research attempts were reanalyzed in the 1950s and concluded that there is no set of traits which consistently distinguish leaders from non-leaders.
- D. Recent efforts suggest that the trait approach may have been abandoned prematurely.
 1. More sophisticated statistical techniques are now available.
 2. Several rather predictable traits have now been suggested such as:
 - a. intelligence
 - b. dominance
 - c. aggressiveness
 - d. decisiveness
- E. The question of whether traits can be associated with leadership remains open. Recent research work has looked at communication skills, human relations skills, resistance to stress, tolerance of uncertainty, and others.

BEHAVIORAL AND SITUATIONAL MODELS OF LEADERSHIP

Identifying Leader Behaviors

A number of researchers have focused on the question of whether specific behaviors, rather than traits, make some leaders more effective than others.

1. If behavior studies turned up critical behavioral determinants of leadership, people could be trained to be leaders.
2. Four main leader behavior studies are carried out.
 - a. University of Iowa Studies—Kurt Lewin and associates—studied three leadership styles: autocratic, democratic, and laissez-faire.
 - b. The Ohio State Studies identified two important dimensions of leader behavior—initiating structure and consideration.
 - c. University of Michigan Studies identified two dimensions of leader behavior—employee oriented and production oriented.
 - d. The Managerial Grid is a two-dimensional grid for appraising leadership styles using “concern for people” and “concern for production” as dimensions.
3. Predicting leadership success involved more than isolating a few leader traits or behavior. This “failure” to attain consistent results led to a focus on situational influences.

University of Iowa researcher, Kurt Lewin, conducted some of the earliest attempts to identify effective leadership behaviors.

1. Three types of leadership behavior styles were identified.
 - a. **Autocratic** leaders tend to make unilateral decisions, dictate work methods, limit worker knowledge about goals to just the next step to be performed, and sometimes give feedback that is punitive.
 - b. **Democratic** leaders tend to involve the group in decision making, let the group determine work methods, make overall goals known, and use feedback as an opportunity for helpful coaching.
 - c. **Laissez-faire** leaders generally give the group complete freedom, provide necessary materials, participate only to answer questions, and avoid giving feedback.
2. Research on the comparative effectiveness of the three leadership styles was inconclusive.
 - a. The laissez-fair style was ineffective.
 - b. The effectiveness of the autocratic and democratic leaders varied, although satisfaction levels tended to be higher in the democratically led groups.

Michigan Studies

The Michigan studies compared leadership within groups already identified as effective or as ineffective.

1. A continuum was developed from employee-centered to job-centered approaches.
2. With the **employee-centered** approach, managers channel their main attention to the human aspects of subordinates' problems and to the development of an effective work group dedicated to high performance goals.
3. With the **job-centered** approach (or production-centered approach), leaders divide the work into routine tasks, determine work methods, and closely supervise workers to ensure that the methods are followed and productivity standards are met.
4. The outcomes of the study were mixed, but they sometimes showed that the high-producing work units tended to have job-centered supervisors.

Ohio State Studies

Researchers at the Ohio State University developed a questionnaire to measure leaders' behaviors and to correlate them with group performance and satisfaction.

1. Two behaviors were identified as particularly important.
 - a. **Initiating structure** is the degree to which a leader defines his or her own role and the roles of subordinates in terms of achieving unit goals.
 - b. **Consideration** is the degree to which a leader builds mutual trust with subordinates, respects their ideas, and shows concern for their feelings.
2. In contrast to the Iowa and Michigan studies, the two behaviors were considered to be independent variables and are best illustrated with separate continuums rather than the single continuum developed in the Iowa and Michigan studies.
3. The leader who is high in both initiating structure and consideration was thought to be the most effective, but further research indicated that such a generalization was too simplistic.

The Mouton-Blake Managerial Grid uses concern for people and concern for production as its two axes.

1. Used a training device, the grid enables managers to understand their own styles.
2. The manager high in concern for people and concern for production is the theoretical ideal. Research into male-female stereotypes of management styles do not hold. Most studies indicate that male and female leaders are similar in the amounts of interpersonal and task behaviors exhibited.

Situational Theories

- A. Lack of success in identifying an effective leadership style generalize-able to all situations led to consideration of situational factors—i.e., any particular style of leadership could be effective depending on the situation.
 1. **Situational theories** are theories that emphasize situations.
 2. Contingency theories are theories of leadership because they hold that appropriate leader traits or behaviors are contingent, or dependent, on relevant situational characteristics.
- B. **Fielder's contingency model** is a situational approach originally developed by Fred Fielder and his associates.
 1. A leader's **LPC orientation** is a personality trait measured by the least preferred coworker (LPC) scale.
 2. The LPC scale is a 1 to 8 rating by the leader of "the person with whom the leader can work least well."
 3. The interpretation of the scale has been controversial, but there is an orthodox interpretation at present.
 - a. Low-LPC leaders describe a least-preferred coworker in relatively negative terms and are likely to be task-motivated.
 - b. High-LPC leaders describe a least-preferred coworker in relatively positive terms and are likely to be people-motivated.
 4. Fielder maintains that management style or LPC orientation is difficult to change, so it is important to carefully match the leader's personality to situational factors that favor the leader's prospects for success.
 - a. The situation should be assessed to determine the degree of situational control for the leader.

1. The most important situational variable is leader-member relations, i.e., the extent to which the leader has the support of group members.
2. Task structure is the extent to which a task is clearly specified with regard to goals, methods, and standards of performance.
3. Position power is the amount of power that the organization gives the leader to accomplish necessary tasks.
- b. Leadership style should be matched with situation.
 - 1) Low-LPC leaders do best in situations of either high favorability or extremely low favorability.
 - 2) High-LPC leaders do best in situations of moderate favorability
5. Recent analyses are tending to support Fielder's original research do suggest that there are additional factors at work that are not accounted for in the contingency model.
- C. The **normative leadership model** is a model that helps leaders assess important situational factors that affect the extent to which they should involve subordinates in particular decisions.
 1. Five types of management method for solving group problems are delineated.
 - a. Autocratic I (AI): You solve the problem or make the decision yourself using present information.
 - b. Autocratic II (AII): You obtain necessary information from subordinates without involving them in the decision, and make the decision yourself.
 - c. Consultative I (CI): You share the problem with the relevant subordinates individually, then you make a decision which may or may not be influenced by subordinates.
 - d. Consultative II (CII): You obtain ideas and suggestions from subordinates in a group session, but make the decision yourself.
 - e. Group II (GII): You share the problem with your subordinates as a group and coordinate their efforts to devise a solution.
 2. A decision about which method to use is guided by the answer to eight questions.
 - a. How important is the technical quality of this decision?
 - b. How important is subordinate commitment to this decision?
 - c. Do you have sufficient information to make a high-quality decision?
 - d. Is the problem well structured?
 - e. If you were to make the decision by yourself, is it reasonably certain that your subordinates would be committed to the decision?
 - f. Do subordinates share the organizational goals to be attained in solving this problem?
 - g. Is conflict among subordinates over preferred solution likely?
 - h. Do subordinates have sufficient information to make a high-quality decision?
 3. The revised normative leadership model can be used in either of two variations: when developing subordinates is more important than conserving time in decision making or when minimizing time is more important.
- D. The **situational leadership theory**, developed by Paul Hersey and Ken Blanchard, is on the premise that leaders need to alter their behaviors depending on the readiness of followers.
 1. Two leader behaviors are considered to be independent dimensions.
 - a. Task behavior is the extent to which the leader engages in spelling out the duties and responsibilities of an individual or group.
 - b. Relationship behavior is the extent to which the leader engages in two-way or multi-way communication
 2. The four levels of readiness defined along a continuum from low to high readiness prescribe

the appropriate leadership style.



- a. Telling is used in situations of low readiness, when followers are unable and also unwilling or too insecure to take responsibility for a given task.
 - b. Selling is used for low to moderate readiness, when followers are unable to take responsibility, but are willing or feel confident to do so.
 - c. Participating is used with moderate to high readiness, when followers are able to take responsibility, but are unwilling or too insecure to do so.
 - d. Delegating is used for high readiness, when followers are able and willing or confident enough to take appropriate responsibility.
3. Leaders should help increase the task-related readiness of their followers as quickly as feasible by adjusting their own leadership styles.
 4. Studies have found the situational theory of leadership particularly effective with newly hired employees and employees in new jobs.
 5. Recent analyses are tending to support Fielder's original research do suggest that there are additional factors at work that are not accounted for in the contingency model.

The **path-goal theory** of leadership attempts to explain how leader behavior impacts the motivation and job satisfaction of subordinates.

1. The theory gets its name from the fact that it focuses on how leaders influence the way that subordinates perceive work goals and possible paths to reaching both work goals (performance) and personal goals (intrinsic and extrinsic rewards).
2. Path-goal theory relies heavily on the expectancy theory of motivation.
3. Four major leader behaviors can be used to affect subordinate perceptions of paths and goals.
 - a. **Directive** leader behavior involves letting subordinates know what is expected of them, providing guidance about work methods, developing work schedules, identifying work evaluation standards, and indicating the basis for outcomes or rewards.
 - b. **Supportive** leader behavior entails showing concern for the status, well-being, and needs of subordinates; doing small things to make the work more pleasant; and being friendly and approachable.
 - c. **Participative** leader behavior is characterized by consulting with subordinates, encouraging their suggestions, and carefully considering their ideas when making decisions.
 - d. **Achievement-oriented** leader behavior involves setting challenging goals, expecting subordinates to perform at their highest level, and conveying a high degree of confidence in subordinates.

Situational factors must be taken into account when choosing a leader behavior.

1. Subordinate characteristics include personality traits, skills, abilities, and needs.
2. Context characteristics include the task itself, the work group, and the organization's formal authority system.

Diagnosis in terms of expectancy theory leads to a choice of appropriate leader behavior and involves three steps.

1. Think in terms of the elements used in expectancy theory to diagnose various situational factors in terms of their effects on the three expectancy-theory elements (the path).
 - a. Effort-performance is the probability that our efforts will lead to the required performance level.
 - b. Performance-outcome expectancy is the probability that our successful performance will lead to certain outcomes or rewards.
 - c. Valence is the anticipated value of the outcomes or rewards.
- 1) Diagnose situational factors that can be changed to enhance the expectancy theory elements are targeted.
- 2) Appropriate leader behaviors are initiated to change the situational factors.

Path-goal theory encompasses multiple leader behaviors and a potentially large number of situational

variables. Its flexibility provides a useful framework about likely impacts of leader behavior on subordinate motivation, goal attainment, and job satisfaction.



STRATEGIC LEADERSHIP MODELS

CUTTING-EDGE APPROACHES TO STRATEGIC LEADERSHIP

The most current approaches to looking at leadership are discussed.

The research we've discussed has described transactional leader. What is the difference between transactional and transformational leaders?

1. **Transactional leaders** are leaders who guide or motivate their followers in the direction of established goals by clarifying role and task requirements.
2. **Transformational leaders** are leaders who provide individualized consideration and intellectual stimulation and possess charisma.
3. Transformational leadership is built on top of transactional leadership.
4. The evidence supporting the superiority of transformational leadership over the transactional variety is overwhelmingly impressive.
 - a. **Transformational leaders** motivate subordinates to perform at expected levels by helping them recognize task responsibilities, identify goals, acquire confidence about meeting desired performance levels, and understand how their needs and the rewards that they desire are linked to goal achievement.
 - b. **Transformational leaders** motivate individuals to perform beyond normal expectations by inspiring subordinates to focus on broader missions that transcend their own immediate self-interests, to concentrate on intrinsic higher-level goals (such as safety and security), and to have confidence in their abilities to achieve the extraordinary missions articulated by the leadership.
 - c. **Transformational leadership** is not a substitute for transactional leadership; it is an enhancement.
 - d. **Charisma** is the leader's ability to inspire pride, faith, and respect; to recognize what is really important, and to articulate effectively a sense of mission, or vision, that inspires followers.
 - Charisma was once thought to be an inborn personality trait.

Recent research attempts to identify behaviors which cause people to view a person as charismatic.

Charismatic-Visionary Leadership

Charismatic leadership theory is an extension of attribution theory and suggests that followers make attributions of heroic or extraordinary leadership abilities when they observe certain behaviors.

1. Five personal characteristics of charismatic leaders have been identified.
 - a. Have a vision
 - b. Are able to articulate that vision
 - c. Are willing to take risks to achieve that vision
 - d. Are sensitive to both environmental constraints and follower needs
 - e. Exhibit behaviors that are out of the ordinary
2. An increasing amount of research shows impressive correlations between charismatic leadership and high performance and satisfaction among followers.
3. Most experts think that individuals can be trained to exhibit charismatic behaviors.
4. Charismatic leadership may not always be needed to achieve high levels of employee performance. It may be most appropriate when an employee's job has a lot of ideological content.

Visionary leadership is described as going beyond charisma with the ability to create and articulate a

realistic, credible, attractive vision of the future for an organization or organizational unit that grows out of and improves on the present.



Principles_of_Management_MGT503 Bilal Kahlon Official

1. If the vision is properly selected and implemented, it can be so energizing that it incites individuals to use their skills, talents, and resources to make it happen.
2. A vision differs from other forms of organizational direction in that it uses compelling imagery, taps into people's emotions and energy, and creates the enthusiasm that people need to bring energy and commitment to the workplace.
3. The key properties of a vision are that it has inspirational possibilities that are value centered, are realizable, have superior imagery, and are well articulated.
4. What skills do visionary leaders have?
 - a. The ability to explain the vision to others.
 - b. The ability to express the vision not just verbally but through behavior.
 - c. The ability to extend or apply the vision to different leadership contexts.

Another important contemporary issue for leaders is creating a culture of trust and credibility.

1. **Credibility** is the degree to which followers perceivesomeone as honest, competent, and able to inspire.
2. **Trust** is the belief in the integrity, character, and ability of a leader.
3. Research has identified five dimensions that make up the concept of trust.
 - a. Integrity (honesty and truthfulness)
 - b. Competence (technical and interpersonal knowledge and skills)
 - c. Consistency (reliability, predictability, and good judgment in handling situations)
 - d. Loyalty (willingness to protect a person, physically and emotionally)
 - e. Openness (willingness to share ideas and information freely)
4. Given the fact that many organizations have moved to self-managed work teams, trust is extremely important because many of the traditional control mechanisms have been removed.
5. How should leaders build trust? Here are eight suggestions.
 - a. Practice openness.
 - b. Be fair.
 - c. Speak your feelings.
 - d. Tell the truth.
 - e. Show consistency.
 - f. Fulfill your promises.
 - g. Maintain confidences.
 - h. Demonstrate competence.

Team Leadership

As the usage of work teams grows, the role of team leader becomes increasingly important.

1. The challenge for most managers is learning how to become an effective team leader.
2. Effective team leaders have mastered the difficult balancing act of knowing when to leave their teams alone and when to get involved.
3. There are two priorities for a team leader.
 - a. Managing the team's external boundaries
 - b. Facilitating the team process
4. These priorities can be broken down into four specific leadership roles.
 - a. Liaisons with external constituencies
 - b. Troubleshooters
 - c. Conflict managers
 - d. Coaches

Gender and Leadership

The next contemporary leadership issue we want to discuss is gender and leadership. This topic is one that still creates controversy! What, if any, differences exist between male and female leaders and what implications would these differences have?

1. The evidence generally has found that males and females *do* use different leadership styles.
 - a. Women tend to adopt a more democratic or participative style and a less autocratic or directive style than men do.
 - b. Women are more likely to encourage participation, share power and information, and attempt to enhance followers' self-worth.
 - c. Men are more likely to use a directive, command-and-control style.
 - d. Men rely on the formal authority of their position for their influence base.
 - e. Men use transactional leadership, handing out rewards for good work and punishment for bad.
2. Is different better? The best managers (leaders) listen, motivate, and provide support to their people. They inspire and influence rather than control. Generally speaking, women seem to do these things better than men.
3. However, gender doesn't imply destiny. Which leadership style is effective depends on the situation. Gender simply provides a behavioral *tendency* in leadership style.

Bilal Kahlon Official

UNDERSTANDING GROUP DYNAMICS IN ORGANIZATIONS

INTRODUCTION

Work groups are a common arrangement within today's business organizations. Work is being restructured around groups of all kinds and in all sizes of organizations. Managers need an understanding of group behavior and the concept of teams in order to appreciate what groups can and cannot do within organizations and how groups function.

Any one member in group can influence the behavior of the individuals in the group and teamwork. We will examine some basic characteristics of groups including the types of work groups, the development of informal groups, and the manner in which groups operate.

UNDERSTANDING GROUP BEHAVIOR

Groups exhibit different behavior—more than just the sum total of each group member's individual behavior. In this section, we're going to look at various aspects of group behavior.

What is a Group?

A **group** is defined as two or more interacting and interdependent individuals who come together to achieve particular objectives.

1. Groups differ from mere aggregates of individual because the latter have no interdependence, interaction, or common goal.
2. Groups differ from organizations because the latter involve systematic efforts and are engaged in the production of goods and services.
3. Teamwork occurs when groups are able to work efficiently and effectively together to achieve organizational goals.

There are a number of types of work groups

1. A **formal group** is a group officially planned and created by an organization for a specific purpose.
 - A **command** or **functional group** is a formal group consisting of a manager and all the subordinates who report to that manager.
 - 1) Each identifiable work group consisting of manager and subordinates is a command group.
 - 2) A linking is an individual who provides a means of coordination between command groups at two different levels by fulfilling a supervisory role in the lower-level group and a subordinate role in the higher-level group.
2. Informal groups are natural social formations that appear in the work environment. An **informal group** is a group that is established by employees, rather than by the organization, in order to serve group members' interests or social needs. Informal groups are unplanned groups.
 - a. An interest group is an informal group created to facilitate employee pursuits of common concern.
 - b. A friendship group is an informal group that evolves primarily to meet employee social needs.

Overview of Group Dynamics

Formal and informal work groups are becoming increasingly important competitive factors in organizations. Teamwork is the result of groups working together to effectively and efficiently achieving organizational goals. Formal groups include command and task groups. Informal groups include interest and friendship groups. A useful way to analyze groups is to view them as systems that use inputs, engage in various

processes or transformations, and produce outcomes.



Managers can help bring about higher performance from formal work groups by weighing the characteristics of members they assign to particular groups. Group members should have task-relevant expertise and appropriate interpersonal skills. Also, it has been found, that a degree of diversity among group members usually adds to performance. Group training, particularly for diverse groups, has been found to be useful.

Members may be attracted to a group for a number of reasons including being attracted to or liking other members of the group, liking the activities of the group, the goals or purposes of the group, because the group satisfies an individual's need for affiliation, and/or because the group can help an individual achieve a goal outside the group. The absence of attraction can prevent the group from achieving high performance. Member roles in groups include group task roles, group maintenance roles, and self performance. Member roles in groups include group task roles, group maintenance roles, and self oriented roles. The size of the group has also been found to have significant bearing on the group's performance. Mid-sized groups, from five to seven members, seem to be an optimum size according to recent research. Smaller groups can often exacerbate individual differences. Large groups tend to be when working in groups than when working alone. Free riding is particularly likely when members exhibit individualism rather than collectivism. Managers can combat social loafing by several methods. Assign just enough people to do the work is one key method. Other methods include making each individual's work visible, providing for individual feedback, have people work with those the respect, have standards to actually measure group performance, and making rewards contingent on a combination of individual and group performance.

The work group processes usually result in greater or lesser performance than would occur if the individuals worked alone rather than as members of the group. This process is called synergy. Managers strive to have a positive synergy from the group rather than negative. Three key characteristics of the group help determine the synergy levels. These are group norms, group cohesiveness, and group development. Norms are the behaviors of group members that are acceptable to the group. Norms stem from explicit statements by supervisors and coworkers, critical events in a group's history, primacy, and carryover behaviors. Group cohesiveness has important consequences for group communication, satisfaction, performance, hostility and aggression toward other groups, and a group's willingness to innovate and change. Factors influencing the amount of cohesiveness in a group include whether or not members of the group share attitudes and values, the amount and severity of external threats to the group, whether or not the group experiences recognizable successes, the degree of difficulty encountered in joining the group, and the size of the group. One view of group development shows groups passing through five distinct stages: forming, storming, norming, performing, and adjourning. A group's performance varies depending on the stage it is in.

A special kind of group behavior is found in group meetings. Because of the considerable amount of time spent in meetings, it is important for managers to know how to maximize group meeting effectiveness. This chapter includes an excellent short guide for how managers can lead more effective group meetings. Groups can also help facilitate creativity and innovation in the organization. Some of the major mechanisms that organizations use to encourage the creative and innovative capacity of groups include the use of task forces, or ad hoc committees, and teams, particularly entrepreneurial and self-managing teams.

GROUP CONCEPTS, STAGES OF GROUP DEVELOPMENT AND TEAM EFFECTIVENESS

Work Group Inputs

- A. Work group inputs are those that are necessary for the group to operate.
- B. The composition of a work group has a strong bearing on the group's ultimate success, so careful consideration should be made in making group assignments.
 - 1. Characteristics of members that influence group effectiveness include task-relevant expertise, interpersonal skills, and diversity in the makeup of the group to include sufficient individual skills and interest.
 - 2. Individuals may be attracted to a group because of friendships, interest in the activities of the group, shared values, the need for affiliation, and the need to fulfill objectives outside those of the group.
- C. An input into the group is the members' assumption of **roles**, set of behaviors expected of individuals who occupy particular positions in a group.
 - 1. **Group task roles** are roles that help a group develop and accomplish its goals.
 - a. The initiator-contributor proposes goals, suggests way of approaching tasks, and recommends procedures for approaching a problem or task.
 - b. The information seeker asks for information, view points, and suggestions about the problem or task.
 - c. The information giver offers information, viewpoints, and suggestions about the problem or task.
 - d. The coordinator clarifies and synthesizes various ideas in an effort to tie together the work of the members.
 - e. The orienter summarizes, points to departures from goals, and raises questions about discussion direction.
 - f. The energizer stimulates the group to higher levels of work and better quality.
 - 2. Group leaders often assume task roles.
 - 3. An **informal leader** is an individual, other than the formal leader, who emerges from a group, has major influence, and is perceived by group members as a leader.
- D. **Group Size** is an important input into the functioning of groups.
 - 1. The number of individuals in a group influences how the members interact.
 - a. Very small groups have a number of disadvantages.
 - 1) In two-person groups, or dyads, members are either at odds frequently or are extremely polite to avoid differences.
 - 2) Three-person groups frequently lead to two-against-one situations.
 - 3) Even-numbered groups often lead to deadlocks
 - b. Groups of five to seven are ideal because of enough input and the lack of deadlocks.
 - c. Large groups beyond seven and more so beyond eleven, pose difficulties.
 - 1) Interactions tend to become centralized to a few members.
 - 2) Overall group satisfaction declines.
 - 3) Interactions become too lengthy when complex issues are considered.
 - 2. Group performance stops rising and even possibly declines as group size increases.
 - a. Social loafing is the tendency of individuals to expend less effort when working in groups than when working alone.
 - b. Free riders are individuals who engage in social loafing in a group
 - c. **Individualism**, a condition where by personal interests are stronger than the needs of the

group, often leads to social loafing.



- d. On the other hand, **collectivists** tend to put the good of the group before personal interest.
- e. To reduce the likelihood of social loafing, managers, may
 - 1) Assign just enough people to do the work
 - 2) Have each group member of different tasks
 - 3) Make each individual's work visible in some way
 - 4) Provide for individual feedback
 - 5) Having individuals work with people they respect
 - 6) Provide standards against which to measure how the group is doing
 - 7) Make rewards contingent on individual, as well as group performance
 - 8) Design interesting, challenging tasks, or select members committed to particular tasks.

Work Group Processes

- A. Group processes are the dynamic, inner workings of groups as they operate over a period of time.
 - 1. Process loss is the energy diverted from the task to develop and operate the group itself.
 - 2. **Positive synergy** is the force that results when the combined gains from group interaction (as opposed to individuals operating alone) are greater than group process losses.
 - 3. **Negative synergy** is the force that results when group process losses are greater than any gains achieved from combining the forces of group members.
- B. **Norms** are expected behaviors sanctioned by a group that regulate and foster uniformity in member behaviors.
 - 1. Work groups tend to develop and enforce norms related to certain central issues.
 - a. Groups develop norms regarding production processes.
 - b. Groups develop norms regarding informal social relationships, e.g., where to have lunch.
 - c. Groups develop norms regarding allocation of resources, e.g., materials, equipment, etc.
 - 2. Norms typically develop through one of four mechanisms.
 - a. Explicit statements made by supervisors and coworkers can provide information about expectations.
 - b. Critical events set precedents for the future.
 - c. Primacy is the phenomenon that the first behavior pattern that emerges in a group tends to establish group expectations.
 - d. Carryover behaviors are those that arise among individuals who have worked together in other groups.
- C. **Group cohesiveness** is the degree to which members are attracted to a group, are motivated to remain in the group, and are mutually influenced by one another.
 - 1. A high degree of cohesiveness in a group can have consequences on group performance.
 - a. Members tend to communicate more frequently and be more sensitive to one another, leading to greater job satisfaction.
 - b. Cohesiveness can also lead to giving more aid to other group member, a form of organizational citizenship.
 - c. Aggression among groups may arise.
 - 1) Within the same organization, competition may be helpful or detrimental.
 - 2) Competition with other organizations may have positive effects.
 - d. Performance levels may be either very high or very low, depending upon the group's norms and cohesiveness.
 - e. The group's openness to innovation may be very high or very low.
 - 2. A number of factors have a positive effect on group cohesiveness; they include:

- a. Similar attitudes and values.
- b. External threats



- c. Outstanding successes
- d. Difficulties encountered in joining a group
- e. Small group size

Stages of Groups Development

1. It has been proposed that groups progress through a series of five stages, but may regress with changes in membership.
 - a. Stage 1: **Forming** occurs as group members attempt to assess the ground rules that will apply to a task and to group interaction.
 - b. Stage 2: **Storming** occurs as group members experience conflict with one another as they locate and attempt to resolve differences of opinion regarding key issues.
 - c. Stage 3: **Norming** occurs as group members begin to build group cohesion, as well as develop a consensus about norms for performing a task and relating to one another.
 - d. Stage 4: **Performing** occurs as energy is channeled toward a task and as norms support teamwork.
 - e. Stage 5: **Adjourning** occurs as group members prepare for disengagement as the group nears successful completion of its goals.
2. Research indicates that these five stages apply primarily to newly formed, relatively unstructured groups.

Many organizational decisions are made by groups

1. Group decisions have certain advantages over individual decisions.
 - a. Provide more complete information.
 - b. Generate more alternatives.
 - c. Increase acceptance of a solution.
 - d. Increase legitimacy.
2. However, group decisions also have disadvantages.
 - a. Time consuming.
 - b. Minority domination.
 - c. Pressures to conform, which can lead to **groupthink**.
 - d. Ambiguous responsibility.
3. Effectiveness and Efficiency of Group Decision Making.
 - Are group decisions more effective? It depends on the criteria used for defining effectiveness.
 - a. Group decisions tend to be more accurate.
 - b. Individual decisions are quicker in terms of speed.
 - c. Group decisions tend to have more acceptances.
 - d. The effectiveness of group decisions tends to be influenced by the size of the group. Groups should not be too large.
 - e. Groups also are not as efficient as individual decision makers.
4. Techniques for Improving Group Decision Making.
 - a. **Brainstorming** is an idea-generating process that encourages alternatives while withholding criticism.
 - b. **Nominal group technique** is a group decision-making technique in which group members are physically present but operate independently.
 - c. **Electronic meetings** are one way that decision-making groups can interact by way of linked computers.

TURNING GROUPS INTO EFFECTIVE TEAMS

Work teams are formal groups made up of interdependent individuals, responsible for attaining goals. Organizations are increasingly designing work around teams rather than individuals. Why?

Most of us are probably familiar with the concept of a team. However, we may not be as familiar with work teams. All work teams are groups, but only formal groups can be work teams.

There are different types of teams. Four characteristics can be used to distinguish different types of teams.

1. Teams can vary in their *purpose or goal*.
2. The *duration* of a team tends to be either permanent or temporary.
3. *Team membership* can be either functional or cross-functional.
4. Finally, teams can either be *supervised or self-managed*.
5. Given these four characteristics, some of the most popular types of teams used today include the following:
 - a. A **functional team** is a type of work team that is composed of a manager and his or her subordinates from a particular functional area.
 - b. A **self-directed or self-managed team** is one that operates without a manager and is responsible for a complete work process or segment that delivers a product or service to an external or internal customer.
 - c. A **virtual team** is one that uses computer technology to link physically dispersed members in order to achieve a common goal.
 - d. Finally, a **cross-functional team** is one in which individuals who are experts in various specialties (or functions) work together on various organizational tasks.

DEVELOPING AND MANAGING EFFECTIVE TEAMS

Teams aren't automatically going to magically perform at high levels. We need to look more closely at how managers can develop and manage effective teams.

There are eight characteristics associated with effective teams.

1. Clear goals
2. Relevant skills
3. Mutual trust
4. Unified commitment
5. Good communication
6. Negotiating skills
7. Appropriate leadership
8. Internal and external support

What's involved with managing teams?

1. In planning, it's important that teams have clear goals and that these goals be clear to and accepted by every member of the team.
2. Organizing tasks associated with managing a team include clarification of authority and structural issues.
3. Leading issues include such things as determining what role the leader will play, how conflict will be handled, and what the best communication process is.
4. Two important controlling issues include how to evaluate the team's performance and how to reward team members.

One popular approach to group incentive plans is **gain-sharing**, which is a program that shares the gains of the efforts of group members with those group members.



In conclusion, a **TEAM** is a temporary or ongoing task group whose members are charged with working together to identify problems, form a consensus about what should be done, and implement necessary actions in relation to a particular task or organizational area.

1. Teams differ from task forces in two ways.
 - a. Teams identify problems rather than merely reacting to problems identified by others.
 - b. Teams decide on a course of action and implement it, rather than leaving the implementation to others.
2. Teams are widely used today and are often, but not always, task groups from across command groups.
3. An **entrepreneurial team** is a group of individuals with diverse expertise and backgrounds who are brought together to develop and implement innovative ideas aimed at creating new products or services or significantly improving existing ones.
4. **Self-managed teams**, or autonomous work groups, are work groups given responsibility for a task area without day-to-day supervision and with authority to influence and control both group membership and behavior.
 - a. Assessment of the situation is critical in that self-managing teams are not successful in all situations.
 - b. Group makeup and proper allocation of needed resources is important.
 - c. Team training and guidance in cultivating appropriate norms are important.
 - d. Managers need to remove performance obstacles and assistance to help the group continue to learn.

Managing Conflict in Groups

- A. **Conflict** is a process in which one party perceives that its interests are being opposed or adversely affected by one or more other parties.
- B. Conflict can have constructive as well as destructive consequence.
 1. Conflict can delay projects, drive up costs, and cause valued employees to leave.
 2. Conflict can highlight areas for improvement, promote constructive changes, enhance morale and cohesiveness, and encourage new ideas.
- C. There are a number of causes of conflict.
 1. Two types of task interdependence can lead to conflict.
 - a. Sequential interdependence occurs when one individual or work unit is heavily dependent on another.
 - b. Reciprocal interdependence occurs when individuals or work units are mutually interdependent.
 2. Scarcity of resources can lead to conflict.
 3. Goals of different organizational members may be incompatible.
 4. Communication may fail due to distortions or lack of communication.
 5. Differences in personality, experience, and values may breed conflict.
 6. Poorly designed reward systems may foster competitions when cooperative behavior is necessary for organizational success.
- D. Managers may use a number of approaches to reduce and resolve conflict.
 1. Conflict-producing factors in a situation can be changed.
 2. One of five interpersonal modes may be adopted to resolve conflicts.
 - a. **Avoidance** involves ignoring or suppressing a conflict in the hope that it will either go away or not become too disruptive.
 - b. **Accommodation** focuses on solving conflicts by allowing the desires of the other party to prevail.
 - c. **Competition** involves attempting to win a conflict at the other party's expense.
 - d. **Compromise** aims to solve conflict issues by having each party give up some desired

- outcomes in order to get other desired outcomes.
- e. **Collaboration** involves devising solutions that allow both parties to achieve their desired outcomes.



UNDERSTANDING MANAGERIAL COMMUNICATION

INTRODUCTION

Communication between managers and employees provides the information necessary to get work done effectively and efficiently in organizations. In this and following lecture, basic concepts in managerial communications will be presented including: the interpersonal communication process, methods of communicating, barriers to effective communications and ways to overcome these barriers, communication flow and communication networks, and contemporary issues and challenges associated with electronic communications and information technology.

The Nature of Managerial Communication

- A. **Communication** is the transfer and understanding of meaning.
 - 1. If no information or ideas have been conveyed or transferred, communication hasn't taken place.
 - 2. For communication to be successful, the meaning must be imparted and understood.
- B. Good communication does not require agreement with the message; just clear understanding of the message.
- C. Managerial communication encompasses both **interpersonal communication** (between two or more people) and **organizational communication** (all the patterns, networks, and system of communication within an organization).
- D. **Communication** and associated **interpersonal processes** are important ingredients of organizational effectiveness.
- E. **Communication** is the exchange of messages between people for the purpose of achieving common meanings.
- F. Managers use two types of communication in their work.
 - 1. **Verbal communication** is the use of words to communicate.
 - a. Written communication includes letters, memoranda, reports, newsletters, policy manuals, etc.
 - b. Disadvantage includes the fact that the conversations may be time-consuming and difficult to terminate, and that additional time may have to be spent to document what was said.\
 - 2. **Nonverbal communication** is communication by means of elements and behaviors that are not coded into words.
 - 3. **Nonverbal Communication** is communication transmitted without words. The best-known types of nonverbal communication are body language and verbal intonation.
 - a. **Body language** refers to gestures, facial expressions, and other body movements that convey meaning.
 - b. **Verbal intonation** refers to the emphasis someone gives to words or phrases that convey meaning.

The communication process can be analyzed into its basic components

- 1. The **sender** is the initiator of the message.
- 2. **Encoding** is the process of translating the intended meaning into symbols.
 - a. Symbols include words and gestures.
 - b. The sender's choice of symbols depends upon
 - 1) Sender encoding skills.
 - 2) Assessments of the ability of the intended receiver to understand various symbols
 - 3) Judgments regarding the appropriateness of the use of certain symbols
 - 4) Past experience in similar situations

- 5) Job status and education
- 6) Emotional state at the time of the communication attempt



3. The **message** is the encoding-process outcome, which consists of verbal and nonverbal symbols that have been developed to convey meaning to the receiver.
 - a. The **medium** is the method used to convey the message to the intended receiver, e.g., telephone, meeting, formal report.
 - b. Factors to consider when selecting a medium include relative speed, cost, intelligibility, convenience, timing, flow of communication, feedback options, interpersonal dynamics, and documentation.
4. The **receiver** is the person with whom the message is exchanged.
 - a. **Decoding** is the process of translating the symbols into the interpreted message.
 - 1) Effective communication results in the senders and receivers achieving a common meaning.
 - 2) The receiver needs to consider the medium and the context of the message.
 - b. **Noise** is any factor in the communication process that interferes with exchanging messages and achieving common meaning.
 - c. **Feedback** is the basic response of the receiver to the interpreted message.
 - 1) The receiver becomes the sender during feedback.
 - 2) Feedback provides preliminary information to the sender about the success of the communication.
 - 3) **One-way communication** is the communication that results when the communication process does not allow for feedback.
 - 4) **Two-way communication** is the communication that results when the communication process explicitly includes feedback.

Barriers to Effective Interpersonal Communication

1. **Filtering** is the deliberate manipulation of information to make it appear more favorable to the receiver.
 - a. As information is communicated up through the organizational levels, it's condensed and synthesized, and those doing the condensing filter communication through their personal interests and perceptions of what is important.
 - b. The more that organizational culture emphasizes style and appearance, the more that managers will be motivated to filter communications in their favor.
2. **Selective perception** is when people selectively interpret what they see or hear on the basis of their interests, background, experience, and attitudes.
3. **Emotions** influence how a receiver interprets a message when it is received. It's best to avoid reacting to a message when the receiver is upset because he/she is not likely to be thinking clearly.
4. **Information overload** happens when the information we have to work with exceeds our processing—such as 600 waiting e-mail messages in the inbox.
 - a. Receivers tend to select out, ignore, pass over, or forget information when they have too much information.
 - b. Or, receivers may put off further processing until the overload situation is over—still ineffective communication.
5. **Defensiveness**—engaging in behaviors such as verbally attacking others, making sarcastic remarks, being overly judgmental, and questioning others' motives—happens when people feel that they're being threatened.
6. **Language**—words mean different things to different people.
 - a. Age, education, and cultural background can influence language use and definition given to words
 - b. **Jargon** is specialized terminology or technical language that members of a group use to

communicate among themselves.



7. **National culture** can affect the way a manager chooses to communicate.

Overcoming the Barriers to Effective Interpersonal Communication

1. Use feedback. This feedback can be verbal or nonverbal.
2. Simplify language.
3. Listen actively.
 - a. Listening is an active search for meaning, whereas hearing is passive.
 - b. **Active listening** is listening for full meaning without making premature judgments or interpretations, and demands total concentration.
 - c. Active listening is enhanced by developing empathy with the sender—placing yourself in the sender's position.
 - d. Emotions: The simplest answer is for a manager to refrain from communicating until he/she has regained composure.
4. Watch nonverbal cues—actions speak louder than words.

ORGANIZATIONAL COMMUNICATION

Formal versus Informal Communication

1. **Formal communication** refers to communication that follows the official chain of command or is part of the communication required to do one's job.
2. **Informal communication** is organizational communication that is not defined by the organization's structural hierarchy.
 - a. Informal communication systems permit employees to satisfy their needs for social interaction.
 - b. Informal communication systems can improve an organization's performance by creating alternative, and frequently faster and more efficient, channels of communication.

Direction of Communication Flow

1. **Downward communication**—flows from a manager to employees and is used to inform, direct, coordinate, and evaluate employees.
2. **Upward communication** flows from employees to managers
 - a. Upward communication can be used in order to keep managers aware of how employees feel about their jobs, their coworkers, and the organization in general.
 - b. The organizational culture influences the extent of upward communication. A climate of trust, respect, and participative decision making will encourage considerable upward communication. A highly mechanistic and authoritarian environment will severely limit upward communication in both style and content.
3. **Lateral communication** takes place among employees on the same organizational level.
4. **Diagonal communication** is communication that cuts across both work areas and organizational levels.
 - a. The increased use of e-mail facilitates diagonal communications.
 - b. Diagonal communication has the potential to create problems if employees don't keep their managers informed.

COMMUNICATION NETWORKS AND CHANNELS EFFECT OF ICT ON MANAGERIAL COMMUNICATION

As organizational workforces become more and more diverse and widespread throughout the world, communication issues increase in importance.

Organizational communication network

It is the pattern of information flow among task group members.

Five major network structures have been identified.

1. The three centralized networks are structured so that most messages must flow through a pivotal person in the network.
 - a. In the wheel network, all messages must flow through the individual at the center of the wheel.
 - b. In the chain network, some members can communicate with more than one member of the network, but the individual in the center of the chain still tends to control the messages.
 - c. In the Y network, the member at the fork of the “Y” usually becomes the central person in the network.
2. The two decentralized networks permit freer communication among the various members.
 - a. In the circle network, each member can communicate with the individual on either side.
 - b. In the star network, each member can communicate with any other member.
3. Some general differences have been found between the centralized and the decentralized types of networks.
 - a. Effective performance is a function of type of network and type of tasks undertaken.
 - 1) The centralized networks were usually faster and more accurate at performing simple, routine tasks.
 - 2) The decentralized networks were usually faster and more accurate at performing complex tasks.
 - b. Group moral in the decentralized networks was consistently higher than in the centralized, regardless of task assignment.

Organizational communication channels

- A. **Communication channels** are various patterns of organizational communication flow that represent potential established conduits through which managers and other organization members can send and receive information.
- B. **Vertical communication** is a communication that flows from a higher level to one or more lower levels in the organization.
 1. **Downward communication** is a vertical communication that flows from a higher level to one or more lower levels in the organization.
 - a. Most downward communication involves information in one of five categories:
 - 1) Job instructions related to specific tasks.
 - 2) Job rationales explaining the relationship between a task and other organizational tasks.
 - 3) Procedures and practices of the organization.
 - 4) Feedback on individual performance on assigned tasks.
 - 5) Efforts to encourage a sense of mission and dedication to the goals of the organization.

- b. Downward communication is prone to distortion.



- 1) Faulty message transmission may occur because of sender carelessness, poor communication skills, and the difficulty of encoding a message for a number of receivers.
 - 2) Overuse of one-way communication methods means that manager get no feedback
 - 3) Filtering of communication may occur through withholding, screening, or manipulating information to enhance personal power.
- c. The effectiveness of downward communication can be increased by using multiple channels, by repeating the message, and by encouraging feedback.
2. **Upward communication** is the vertical flow of communication from a lower level to one or more higher levels in the organization.
- a. Forms of upward communication include individual and group meetings with superiors, memos and reports, suggestion systems, grievance procedures, and employee attitude surveys.
 - b. The information disseminated through upward communication typically pertains to:
 - 1) Progress of current work projects
 - 2) Serious unsolved problems and situations in which subordinates need help from superiors.
 - 3) New developments arising within or affecting the work unit or organization suggestions for improvements and innovations.
 - 4) Employee attitudes, morale, and efficiency
 - c. Upward communication can be distorted.
 - 1) Subordinates filter information that they send upward.
 - 2) Managers do not expend enough effort to encourage upward communication.
 - d. **Management by wandering around (MBWA)** is a practice whereby managers frequently tour areas for which they are responsible, talk to various employees, and encourage upward communication.
- C. **Horizontal communication** is lateral or diagonal message exchange either within work-unit boundaries, involving peers who report to the same supervisor, or across work-unit boundaries, involving individuals who report to different supervisors.
1. Horizontal communication can take the form of meetings, reports, memos, telephone conversations, and face-to-face discussions.
 2. Horizontal communication usually relates to:
 - a. Task coordination
 - b. Problem solving
 - c. Information sharing
 - d. Conflict resolution
 - e. Peer support
 3. There are three impediments to necessary, work-related horizontal communication.
 - a. Rivalry among individuals or work units may cause individuals to hide information.
 - b. Specialization may cause individuals to be concerned mainly about the work of their own unit and to have little appreciation for the work and communication needs of others.
 - c. Motivation may be lacking when subordinate horizontal communication is not encouraged or rewarded.
- D. **Informal communication**, better known as “the **grapevine**,” is communication that takes place without regard to hierarchical or task requirements.
1. Informal communication within organizations differs from formal communication.

- a. **Formal communication** is vertical and horizontal communication that follows paths specified by the official hierarchical organization structure and related task requirements.
 - b. Formal communication relates to position in the organization; informal communication depends upon personal relationships.
2. Grapevines can be configured in a number of ways.
 - a. In the single-strand chain, communication moves serially from person A to B to C and so on.
 - b. With the gossip chain, person A seeks out and tells others.
 - c. When following the probability chain, person A spreads the message randomly, as do individuals F and D.
 - d. In the cluster chain, the most predominant form, person A tells three selected individuals, and then one of these tells three others.
 3. Grapevines have a number of characteristics.
 - a. They are fast.
 - b. The data produced ranges from 50 to 90 percent accurate.
 4. Grapevines are most harmful when they carry false rumors and gossip.
 5. Grapevines might serve positive organizational purposes.
 - a. They may serve to transmit organizational rules, values, and morals.
 - b. They may serve to disseminate organizational traditions and history.
 - c. They may help to reinforce formal messages, to test new proposals, and to obtain feedback about employee feelings and ideas.
 - d. They may help to foster innovation by facilitating communication among various parts of the organization.

How Technology Affects Managerial Communication

Two developments in information and communication technology seem to be having the most significant impact on current managerial communication: networked computer systems and wireless capabilities.

Networked Systems

1. An **electronic mail system** is a mail system that allows high-speed exchange of written messages through the use of computerized text-processing and communication networks.
 - a. Electronic mail has advantages.
 - 1) It is a time-saver.
 - 2) It leads to exchanges of information among managers who previously did not communicate.
 - 3) Managers tend to receive new types of information through these systems.
 - b. Electronic mail has a couple of disadvantages.
 - 1) It eliminates the nonverbal cues that serve as aids in face-to-face communication.
 - 2) It is easy to vent anger and frustrations over email that would never be communicated through regular written communication channels.
 - 3) It leads to an excess of irrelevant mail.
2. **Voice mail** is the recording systems which enable senders to leave messages for receivers by telephone.
 - a. Some nonverbal cues are sent, such as voice quality and tone.
 - b. It is particularly suited for short messages that require no further discussions or feedback.

3. **Teleconferencing** is the simultaneous communication among a group by telephone or via computer using specially designed software. The software is often referred to a “groupware.”



- a. Meeting can be held while members are not in the same location.
 - b. Each group member has access to their own computer which is linked to a network and to an overhead projector.
 - c. Messages are anonymous.
 - d. Most, and sometimes all, communication is done through the computers.
 - e. These systems have incredibly high speeds and, usually, very high success rates.
4. **Videoconferencing** is the holding of meetings with individuals in two or more locations by means of closed-circuit television.
- 1) It is synchronous, meaning that senders and receivers can engage in simultaneous communication of the type associated with face-to-face conversation.
 - 2) It is fast.
5. **Electronic data interchange (EDI)** is a way for organizations to exchange standard business transaction documents, such as invoices or purchase orders, using direct computer-to-computer networks.
6. **Intranet** systems are organizational communication networks that use Internet technology and are accessible only by organizational employees.
7. **Extranet** systems are organizational communication networks that use Internet technology and allow authorized users inside the organization to communicate with certain outsiders such as customers and vendors.

Wireless Capabilities

Wireless communication depends on signals sent through air or space without any physical connection using things such as microwave signals, satellites, radio waves and radio antennas, or infrared light rays.

How Information Technology Affects Organizations

1. Communication and the exchange of information among organizational members are no longer constrained by geography or time.
2. However, managers must not forget to address the psychological drawbacks such as the cost of an employee being constantly accessible, pressure to “check in” even during off hours, and the separation of work lives and personal lives.

CONTROLLING AS A MANAGEMENT FUNCTION

Introduction and Overview of Controlling

Regardless of the thoroughness of the planning done, a program or decision still may be poorly or improperly implemented without a satisfactory control system in place.

Controlling is that process of regulating organizational activities so that actual performance conforms to expected organizational goals and standards. While interrelated with all of the other management functions, a special relationship exists between the planning function of management and controlling. Planning, essentially, is the deciding of goals and objectives and the means of reaching them. Controlling lets manager tell if the organization is on track for goal achievement, and if not, why not. A well-developed plan should provide benchmarks that can be used in the control process.

Controls serve other important roles including helping managers cope with uncertainty, detecting irregularities, identifying opportunities, handling complex situations, and decentralizing authority. Like planning, controlling responsibilities differ by managerial level with control responsibilities paralleling planning responsibilities at the strategic, tactical, and operational level.

There are several major steps usually identified in the basic control process. These are, in order, determining the areas to be controlled, establishing the appropriate standards, measuring performance, comparing the performance against standards, recognizing performance if standards are met or exceeded or take corrective actions as necessary if not, and adjusting either/or standards and measures as necessary. Of course it would be impossible to control all activity in an organization. Consequently, it is important for the manager to decide which activities should have the control process applied. Argues that managers need to consider controls mainly in areas in which they depend on others for resources necessary to reach organizational goals. Four conditions help delineate when controls should be used. These are having a high dependence on the resource, having a high expectation that the resource flows would be unacceptable without proper controls, that the instituting of a control process would be feasible, and that the total control process costs would be within the acceptable range.

Timing is one of the bases for differentiating control systems. Some major control types are based on timing. These include feed forward controls, concurrent controls, and feedback controls. These are terms which are unfamiliar to many students and special note needs to be made in reviewing this material. A variety of these types of control is frequently used in multiple control systems and usually involve non-cybernetic. Cybernetic controls involve little, if any, human discretion as part of the system. Rather, it is a self-regulating system that, once put into operation, can automatically monitor the situation and take corrective action when necessary. Non-cybernetic systems, on the other hand rely on human discretion as a basic part of its process.

In addition to deciding the types of controls to use, managers also have the options regarding the mechanisms to be used to implement controls. The three basic approaches are bureaucratic, clan, and market. Bureaucratic controls rely on regulation through rules, policies, supervision, budgets, schedules, reward systems, and other administrative mechanisms aimed at ensuring acceptable behavior and performance. Clan controls rely on the values, beliefs, traditions, corporate culture, shared norms, and informal relationships to regulate behavior and to facilitate the reaching of organizational goals. The market controls have a somewhat more limited application in organizations than do bureaucratic or clan controls; all three approaches are likely to be used to some extent. Market controls rely on market mechanisms to regulate prices for certain goods and services used by the organization.

There are some potential dysfunctional aspects of control systems the manager must consider. Behavioral displacement, game playing, operating delays, and negative attitudes are some of these. To decrease the

likelihood of the effects, managers need to avoid engaging in either over-control or under-control. To be



effective, control systems should be future-oriented, multidimensional, cost-effective, accurate, realistic, timely monitor able, acceptable to organization members, and flexible.

Control as a management process

- A. **Controlling**, one of the four major functions of POLCA management, is the process of regulating organizational activities so that actual performance conforms to expected organizational standards and goals.
 - 1. Controlling is largely geared to ensuring that the behavior of individuals in the organization contributes to reaching organizational goals.
 - 2. Controls encourage wanted behaviors and discourage unwanted behaviors.
- B. A **control system** is a set of mechanisms that are designed to increase the probability of meeting organizational standards and goals.
- C. Controls can play five important roles in organizations.
 - 1. Control systems enable managers to cope with uncertainty by monitoring the specific activities and reacting quickly to significant changes in the environment.
 - 2. Controls help managers detect undesirable irregularities, such as product defects, cost overruns, or rising personnel turnover.
 - 3. Controls alert managers to possible opportunities by highlighting situations in which things are going better than expected.
 - 4. Controls enable managers to handle complex situations by enhancing coordination within large organizations.
 - 5. Controls can decentralize authority by enabling managers to encourage decision making at lower levels in the organization while still remaining in control.
- D. Control responsibilities differ according to managerial level.
 - 1. **Strategic control** involves monitoring critical environmental factors that could affect the viability of strategic plans, assessing the effects of organizational strategic actions, and ensuring that strategic plans are implemented as intended.
 - a. Strategic control is typically the domain of top-level managers who must insure core competencies are developed and maintained.
 - b. Long time frames are involved, although shorter time frames may be appropriate in turbulent environments.
 - 2. **Tactical control** focuses on assessing the implementation of tactical plans at departmental levels, monitoring associated periodic results, and taking corrective action as necessary.
 - a. Tactical control is primarily under the direction of middle managers, but top-level managers may at times get involved.
 - b. Time frames are periodic, involving weekly or monthly reporting cycles.
 - c. Tactical control involves department-level objectives programs, and budgets.
 - 3. **Operational control** involves overseeing the implementation of operating plans, monitoring day-to-day results, and taking corrective action when required.
 - a. Operational control is the responsibility of lower-level managers.
 - b. Control is a day-to-day process.
 - c. The concern is with schedules, budgets, rules, and specific outputs of individuals.
 - 4. For controls and three levels to be effective they must operate in concert with one another.

The Control Process

- A. The basic process used in controlling has several major steps.

1. Determine areas to control.



- a. It is impractical, if not impossible, to control every aspect of an organization's activities.
 - b. Major controls are based on the organizational goals and objectives developed during the planning process.
2. Develop standards spelling out specific criteria for evaluating performance and related employee behaviors.
 - a. Standards are often incorporated into the objectives set in the planning process.
 - b. Standards serve three main purposes related to employee behavior.
 - 1) Standards help employee understand what is expected and how their work will be evaluated.
 - 2) Standards provide a basis for detecting job difficulties that are related to personal limitations of organization members.
 - 3) Standards help reduce the potential negative effects of **goal incongruence**, a condition in which there are major incompatibilities between the goals of an organization member and those of the organization.
 3. Make a decision about how and how often to measure performance related to a given standard.
 - a. MBO is a popular technique for coordinating the measurement of performance throughout an organization.
 - b. The means of measuring performance depends upon the performance standards that have been set, as well as data, such as units produced, quality of output, or profits.
 - c. Most organizations use combinations of both quantitative and qualitative performance measures.
 - d. The period of measurement usually depends upon
 - 1) The importance of the goal to the organization
 - 2) How quickly the situation is likely to change
 - 3) The difficulty and expense of rectifying a problem if one were to occur
 4. Compare performance against standards.
 - a. Reports that summarize planned versus actual results are often developed.
 - b. **Management by exception** is a control principle which suggests that managers should be informed of a situation only if control data show a significant deviation from standards.
 - c. Managers may compare performance and standards through personal observation.
 - d. The 360-degree feedback system described in chapter 10 is being used by a number of organizations as an evaluation approach.
 5. Recognize above-standard performance both to give precognition to top performing employees and also to aid improving performance on regular bases.
 6. Assess the reason why standards are not met, and take corrective action.
 7. Adjust standards and measures as necessary.
 - a. Standards and measures need to be checked for relevance.
 - b. Managers must decide whether the cost of meeting certain standards is worth the resources consumed.
 - c. Exceeding a standard may signal opportunities, the potential to raise standards, and/or the need for possible adjustments in organizational plans.
- B. Managers can take a number of approaches to deciding what to control.
1. **Resource dependence** is an approach based on the view that managers need to consider controls mainly in areas in which they depend on others for resources consider control mainly in areas in which they depend on others for resources necessary to reach organizational goals.
 - a. **Strategic control points** are performance areas chosen for control because these are particularly important in meeting organizational goals.
 - b. Strategic control points meet four conditions.

- 1) Dependence on a resource is high because the resource is important and limited in availability.



- 2) The probability that the expected resource flow will be unacceptable is high because of anticipated problems with quantity, quality, or timeliness.
 - 3) Instituting a control system is feasible.
 - 4) The cost of instituting the control system is acceptable.
2. Managers need to develop an alternative to controls if they are needed, but cannot be instituted due to problems of feasibility or cost.
- a. The dependence relationship can be changed so that controls are unnecessary, e.g., lining up several suppliers.
 - b. The nature of the dependence relationship can be changed so that a control system is feasible and/or cost-effective, e.g., job simplification or vertical integration.
 - c. Organizational goals can be changed so that the resources in question are no longer necessary.

REVISITING CONTROL PROCESS

Let us take the **control process** as the three-step process of measuring actual performance, comparing it against a standard, and taking managerial action to correct deviations or inadequate standards.

A. Measuring.

Measuring is the first step in the control process.

1. *How we measure* is done through four common sources of information that managers use. Each of these sources has its own advantages and drawbacks.
 - a. Personal observation
 - b. Statistical reports
 - c. Oral reports
 - d. Written reports
2. *What we measure* is probably more critical than the how. Both objective and subjective measures are used.

B. Comparing is the next step in the control process.

1. It determines the degree of variation between *actual* performance and the standard.
2. It's critical to determine the **range of variation**, which are the acceptable parameters of variance between actual performance and the standard.

C. Taking managerial action is the final step in the control process. Although the manager might decide to "do nothing," two other alternatives are possible.

1. *Correct actual performance.* Once the manager has decided to correct actual performance, he or she has another decision to make.
 - a. Take **immediate corrective action**, which is correcting an activity at once in order to get performance back on track.
 - b. Take **basic corrective action**, which is determining how and why performance has deviated and correcting the source of deviations.
 - c. The action taken will depend on the cost/benefit of doing so.

2. *Revise the standard.* If the standard was set too high or too low, a manager may decide to revise it.

D. Summary of Managerial Decisions.

The control process is a continuous flow between measuring, comparing, and managerial action.

Designing Control Systems

Since control is the process of monitoring activities to ensure they are being accomplished as planned and of correcting any significant deviations. There are three different approaches to designing organizational control systems.

- A. **Market control** is an approach that emphasizes the use of external market mechanisms to establish the standards used in the control system.
- B. **Bureaucratic control** is an approach that emphasizes organizational authority and relies on administrative rules, regulations, procedures, policies, standardization of activities, well-defined job descriptions, and other administrative mechanisms to ensure that employees exhibit appropriate behaviors and meet performance standards.
 - 1. Bureaucratic control has advantages.
 - a. Unlike market control, bureaucratic control does not require that all requirements be specified in advance.
 - b. Bureaucratic control is useful for keeping recurring, relatively predictable activities running smoothly.
 - c. Bureaucratic control focuses on doing the job and aids extrinsic reward systems.
 - 2. Bureaucratic control has disadvantages.
 - a. Innovation is not encouraged.
 - b. Needed changes may be inhibited.
 - c. Employees tend to comply with regulations rather than committing to a course of action.
- C. **Market control** relies on market mechanisms to regulate prices for certain clearly specified goods and services needed by an organization.
 - 1. Two conditions must hold if market control is to be used.
 - a. There must be a reasonable level of competition in the goods or service area.
 - b. It must be possible to specify requirements clearly.
 - 2. Market controls may be used to regulate internal operations as well as external relations.
 - a. Profit centers, e.g., photocopying centers, are set up and charge other departments for their services.
 - b. The intra-organizational use of market controls is limited because the conditions of competitiveness and specificity or requirements may not hold.

The use of market controls is increasing. For example, **outsourcing**, using outside vendors to perform services normally carried out within the organization, is becoming a more common practice.

- D. **Clan control** is an approach to designing control systems in which employee behaviors are regulated by the shared values, norms, traditions, rituals, beliefs, and other aspects of the organization's culture.

Clan control relies on values, beliefs, traditions, corporate culture, share norms and information relationships to regulate employee behaviors and facilitate the reaching of organizational goals.

 - 1. Clan control differs from bureaucratic control.
 - a. Internal motivation is emphasized.
 - b. Duties are flexible and tasks are broadly defined.
 - c. Influence is based on relevant information and expertise, rather than upon position in the hierarchy.
 - 2. A primary advantage of clan control is that it is conducive to innovation.

CONTROLLING ORGANIZATIONAL PERFORMANCE THROUGH PRODUCTIVITY AND QUALITY

Types of Controls

- A. Controls can be classified according to their timing or place in the productive cycle.
 - 1. **Feed forward control** focuses on the regulation of inputs to ensure that they meet the standards necessary for the transformation process.
 - a. The emphasis is upon preventing problems.
 - b. Other names for feed forward control are “preliminary control,” “pre-control,” “preventative control” and “steering control.”
 - 2. **Concurrent control** involves the regulation of ongoing activities that are part of the transformation process to ensure that conform to organizational standards.
 - a. Checkpoints are in place to determine whether to continue the process, take corrective action, or stop worked altogether.
 - b. Other names for concurrent control are “screening” and “yes-no control.”
 - c. This type of control is not appropriate for work that requires creativity or innovation.
 - 3. **Feedback control** is regulation exercised after a product or service has been completed in order to ensure that the final output meets organizational standards and goals.
 - a. Feedback control is used when feed forward and concurrent controls are not feasible or are too costly.
 - b. Feedback control serves a number of functions:
 - 1) To serve as a final means to check for deviations not detected earlier
 - 2) To provide information that will facilitate the planning process
 - 3) To provide information regarding employee performance
 - c. Other names for feedback control are “post action control” or “output control.”
- B. **Multiple control systems** are systems that use two or more of the feed forward, concurrent, and feedback control processes and involve several strategic control points.
 - 1. Multiple control systems develop because of the need to control various aspects of a productive cycle, including inputs, transformation, and outputs.
 - 2. Computer software companies provide examples of processes complex enough to require multiple controls.
- C. The degree to which human discretion is part of a control process determines whether it is cybernetic or non-cybernetic.
 - 1. A **cybernetic control system** is a self-regulated control system that, once it is put into operation, can automatically monitor the situation and take corrective action when necessary, e.g., a heating system or some computerized inventory systems.
 - 2. A **non-cybernetic control system** is a control system that relies on human discretion as a basic part of its process.

CONTROLLING FOR ORGANIZATIONAL PERFORMANCE

What Is Organizational Performance?

Performance is the end result of an activity. Managers are concerned with **organizational performance**—the accumulated end results of all the organization’s work processes and activities.

Measures of Organizational Performance

Employees need to see the connection between what they do and the outcomes. The most frequently used

organizational performance measures include organizational productivity, organizational effectiveness, and industry rankings.



1. **Organizational productivity** is the overall output of goods or services produced divided by the inputs needed to generate that output. It's the management's job to increase this ratio.
2. **Organizational effectiveness** is a measure of how appropriate organizational goals are and how well an organization is achieving those goals.

TOOLS FOR MONITORING AND MEASURING ORGANIZATIONAL PERFORMANCE

Managers might use any of the following types of performance control tools: financial controls, information controls, balanced scorecard approach, or benchmarking best practices approach.

A. Financial Controls.

1. Traditional Financial Control Measures.
 - a. Financial ratios are calculated by taking numbers from the organization's primary financial statements—the income statement and the balance sheet. The four key categories of financial ratios are as follows.
 - 1) Liquidity ratios measure an organization's ability to meet its current debt obligations.
 - 2) Leverage ratios examine the organization's use of debt to finance its assets and whether it's able to meet the interest payments on the debt.
 - 3) Activity ratios measure how efficiently the firm is using its assets.
 - 4) Profitability ratios measure how efficiently and effectively the firm is using its assets to generate profits.
 - b. We have also discussed budgets as a planning tool. However, budgets are also control tools. They provide managers with quantitative standards against which to measure and compare actual performance and resource consumption.
2. Other Financial Control Measures. Managers are using measures such as EVA (economic value added) and MVA (market value added).
 - a. **Economic value added** is a tool for measuring corporate and divisional performance by calculating after-tax operating profit minus the total annual cost of capital.
 - b. **Market value added** adds a market dimension by measuring the stock market's estimate of the value of a firm's past and expected capital investment projects.

B. Information Controls.

Controlling information can be vital to an organization's success. We need to look at the development and use of management information systems.

1. A **management information system** is a system that provides managers with needed and usable information on a regular basis.
 - a. Managers need usable information, not just data
 - b. **Data** are raw, unanalyzed facts. **Information** is analyzed and processed data.
2. Information can help managers control the various organizational areas efficiently and effectively. It plays a vital role in the controlling process.

C. Balanced Scorecard Approach.

1. The **balanced scorecard** is a performance measurement tool that looks at four areas—financial, customer, internal processes, and people/innovation/growth assets—that contribute to a company's performance.
2. The intent of the balanced scorecard is to emphasize that all of these areas are important to an organization's success.

D. Benchmarking of Best Practices

1. **Benchmarking** is the search for the best practices among competitors or non-competitors that lead to their superior performance.



2. Research shows that best practices frequently already exist within an organization, but usually go unidentified and unused.
 - Internal benchmarking best practices program.

Establishing Quality Management Systems

By implementing international quality standards like ISO-9000, European Quality Award, Deming Prize, or Malcolm Baldrige Award; an organization can boost its productivity and quality. This will give leverage for a continuous improvement and consistent quality products for customers and keeping the employees happy as well. One can also adapt TQM philosophy of Deming, Juran or Crosby or Taguchi to outperform their competitors in the global market.

THE END

